

Operating Arrangements

Goods sent to an agent are usually dispatched in bulk and are termed a consignment. The party sending the goods is the consignor and the agent is the consignee. Both parties incur expenses in connection with the consignment. Periodically, the consignee sends an Account Sales to the consignor. This is a document which shows the sales made by the consignee, along with his expenses and commission. A banker's draft for the net balance may accompany the Account Sales.

Sometimes, the consignee guarantees that all the trade debts will be collected and should any prove to be bad, that he will bear the loss. He receives an extra commission (known as *del credere*) on all sales for the additional understanding.

Accounting Arrangements

The act of consigning goods to an agent does not constitute a sale by the consignor but merely a transfer of location of the goods concerned. Ownership of such goods remains vested in the consignor although they are in possession of the consignee. The sale arises when the goods are sold by the consignee to third parties. The accounting arrangement reflect this situation and are different for each of the two parties.

Consignor's Accounting Arrangement

Transfers of goods are recorded by debiting a Consignment to (name of agent) account and by crediting a Goods on Consignment account. This procedure is analogous to that of certain branch accounting transactions whereby the movement of goods from head office to branch is recorded as a transfer, not as a sale. The closing balance of Goods on Consignment is debited at the end of the period and is credited to Trading Account to prevent distortion of the gross profit figure on non-consigned goods, which appears in that account. The consignor debits the expenses which he incurs in connection with the consignment to the Consignment to Agent account, the opposite entries appearing in bank, Cash Creditors etc, as appropriate.

On receipt of the Account Sales the consignee's expenses and commission are debited to the Consignment to Agent account and the sales are credited. The opposite entries are posted to a personal account opened in the name of the agent. The balance on this account is settled in cash or by bill of exchange or is carried forward to the next accounting period. At the end of the period unsold stock in the agent's possession is valued and credited in the Consignment to Agent account to be carried down as a debit at the start of the next accounting period.

After the closing stock figure has been posted, the difference between the two sides of the consignment to Agent account constitutes either a profit or a loss. Despite its name the Consignment to Agent account is effectively a trading and profit and loss account for the consignor.

Valuation Of Stock On Consignment

In arriving at the closing stock valuation, only amounts relating to unsold stock are included; thus

the agent's expenses incurred on the incoming consignment are included but certain items of a marketing nature (delivery to customers, for example) are excluded from the calculation on the grounds that they relate to the goods which have been sold and not to those remaining unsold. Closing stock value thus compromise the aggregate of the initial cost of the goods plus the attributable costs of both the consignor and consignee, but a further refinement is required when stock losses occur. This situation is dealt in the section of stock losses.

Illustration (On the preparation of consignment accounts)

Wheeler consigned 4 crates, each containing 30 identical cycles, at Kshs.1,500 to his agent Sellers on 1st April 19-1

Insurance and transport costs paid by Wheeler amounted to sh150 and Kshs 250 respectively. Sellers paid insurance of Kshs 200, storage charges of Kshs 300 and delivery charges Kshs 50. By the end of that quarter, Sellers had sold 90 of the cycles for Kshs 7,200. He sent a cheque for the amount due after deducting his agreed sales commission of 10%.

Required:

Prepare the appropriate accounts for the June Quarter 19-1 in Wheeler's ledger.

SOLUTION

3.2. Wheeler's ledger

Goods on Consignment

Trading 6,000 Consignment to sellers 6,000

sh sh

Consignment to Sellers (part)

Goods on consignment 6,000 Balance c/d 6,400 Bank - insurance 150
- transport 250

sh sh

6,400 6,400

At this stage these are the only entries which Wheeler is able to post. Subsequently to receiving details from Sellers on the Account Sales (see 2.3) he is able to proceed as follows:

Consignment to Sellers (Continuation)

Balance b/d 6,400 Sellers –sales 7,200 Sellers – insurance 200 Stock c/d 1,725

sh sh

30
6,900 x)
120

- delivery 50 sh - storage 300 (goods) 6,000 - commission 720 ince 150 (10% x
sh7,200 transpt 250 Ince 200
Storage 300

Profit and Loss 1,255

8,925 8,925

Stock b/d 1,725

Sellers

sh sh

Consignment to sellers - sales 7,200 Consngnt to sellers

- insce 200

- storage 300

- dely 50

- comm.. 720

Bank – settlement 5,200

7,200 7,200

STOCK LOSSES

When goods on consignment are lost or stolen or damaged in transit further accounting problems arise. Firstly, Consignment to Agent account is credited with the cost of the loss. (calculated as shown below) and a suitable account is debited; usually this is insured losses or uninsured losses, as appropriate. Secondly, the stock in agent's hands has to be calculated in two stages, the results of which are then added together to give the stock value.

Initially, a calculation has to be made of

$$\frac{\text{Stock quantity}}{\text{consignment quantity}} \times \text{consignor's attributable costs (to point of loss)} = \text{Total}$$

A further calculation is then made of

$$\frac{\text{Stock quantity}}{\text{Total consignment quantity - quantity lost}} \times \text{consignee's attributable costs}$$

The stock loss above is calculated as quantity of units loss x consignor's attributable costs to the point of loss. If the loss of goods occurs after their receipt by the consignee, suitable modifications must be made to the above calculations.

Illustration

A consignor dispatched 25 identical articles at a total cost (including expenses) of sh1,000. En route to the consignee 5 articles were stolen. This loss was covered by insurance. The consignee incurred further expenses (other than marketing expenses) of sh400 and at the end of the period there were 10 unsold articles.

Required;

Show the value of the

- i) Stock loss
- ii) Closing stock

SOLUTION

- i) Stock loss

$$\frac{5}{25} \times \text{sh1,000 (to point of loss 200)} \quad \text{sh}$$

That is, it excludes a proportion of the consignee's expenses since these were incurred after the theft had taken place and related solely to the 20 still remaining

- ii) Closing stock

$$\begin{aligned} & \frac{10}{25} \times \text{sh1,000 (consignor's expense to point of loss 400 25)} \quad \text{sh} \\ \text{plus} & \quad \quad \quad \frac{10}{(25 - 5)} \times 400 \text{ (consignee's expenses } \underline{200}) \quad \text{sh} \\ \text{Total } & \underline{600} \end{aligned}$$

The consignor incurred expenses on the whole consignment whereas the consignee incurred expenses only on the 20 which he received.

Investment

Investment means to spend money in order to generate more income. Sometimes the business concerns have spare cash at their disposal. This cash invested by such business concerns to

generate some income. In some cases, the funds are set aside and invested to provide finance for specific future activity. For investment companies, the investment income is the main source of income.

Investment may be in the form of :

- i) The purchase of government stocks e.g. treasury bills, gilt-edged securities etc. ii) The purchase of shares or debentures of limited companies.

Investments may be also divided as under:-

- i) Those investments which carry a fixed rate of return on nominal value e.g Government stocks, preference shares, debentures etc.
- ii) Those investments which carry a fluctuating rate of return on nominal value e.g Ordinary shares.

Some important aspects in respect of investments are summarized as under:-

Fixed Interest securities consist of government stocks, preference shares and debentures. On these investments, interest is received by the investors at fixed rates. This interest is considered as the income from investments and it is received at regular intervals.

On the acquisition of these investments, the capital cost is the actual cost of investments. It also includes brokerage, stamp duty, transfer fees and other charges associated with the purchase. On the disposal of these investments, the capital proceeds are the net amount after the deduction of all expenses associated with the sale.

Cum-Dividend (or Interest) Quotations

On fixed investments interest goes on accruing day by day but it is paid periodically on fixed dates. The transactions of investments do not necessarily take place on those dates and so the time of the sale of investment, it has to be settled as to who will get the next installment which in the absence of an agreement goes to the purchaser. A company pays dividend on a share to the person whose name appears on the date of the payment of dividend in the books of the company as its holder. Even if a person has held a share for as long a period of eleven months but has sold it to another shortly before the payment of dividend, the company would pay dividend to the new purchaser and not to the former holder. Naturally, therefore, the seller charges the purchaser a price which in his opinion, includes dividend accrued on the share upto the date of sale. The share is then said to have been sold "cum-dividend" or together with dividend, the right of receiving dividend being passed on to the purchaser. It should, therefore, be noted that when an investment is purchased cum-interest the purchaser pays for it a higher price than the normal price, the difference representing the dividend or interest accrued on the investment upto the date of purchase. Therefore, while debiting Investment Account with the purchase price, the same should be split up into the normal price and the dividend/interest accrued, the normal price being debited to investment Account and the dividend or interest accrued debited to the Dividend or the Interest Account.

Similarly, when an investment is sold cum-dividend or cum-interest, the price received includes

dividend or interest accrued on the investment upto the date of sale. Therefore, it should be split into the normal price and the dividend or interest accrued, the normal price being credited to the particular Investment Account and dividend or interest accrued to the Dividend or the Interest Account.

All prices are cum-dividend unless stated specifically to be ex-dividend.

Ex-Dividend (or Interest) Quotations

When an investment is purchased „Ex-Dividend or Ex-Interest“ the price paid is below the normal price, i.e. it is arrived at after deducting from the normal price dividend or interest receivable on the investment from the date of interest or dividend payment to the date of purchase. Therefore, when an investment is purchased Ex-Dividend or Ex-Interest, the purchaser has to pay to the seller the accrued interest upto the date of purchase in addition to the price paid for the investment.

Difference Between Cum-Interest and Ex-Interest

The main difference between the cum-interest and ex-interest are stated as under:-

- i) In case of cum-interest, the purchase price includes the interest accrued upto the date of purchase whereas this is not included in case of ex-interest.
- ii) In case of cum-interest, nothing is payable for interest accrued whereas it is payable in case of ex-interest.
- iii) In case of cum-interest, purchase price is more than the real price of the security but the purchase price is the real price in case of ex-interest.

Accounting Treatment of Fixed-Interest Securities

The income received from investments is treated as under:-

DR: Bank account

CR: Investment account (income column).

The following procedure is adopted in respect of the fixed interest

securities: a) Purchase „cum int“

- i) Work out the total cost of acquisition including stamp duty brokerage, transfer fees, etc.
- ii) Calculate the dividend accrued from the date it was last paid to the date of purchase. This amount represents the income content in the purchase consideration.
- iii) Debit income column with figure calculated in (i) and the balance of purchase price to cost column.
- iv) Credit income column with income when received.

b) Purchase “ex-int”

- i) Debit **cost** column with total purchase price inclusive of all expenses. ii) Calculate the dividend from the date of purchase to the date of payment. This amount represents the income

deducted from the purchase consideration.

iii) By means of journal entry debit cost column with figure arrived at in (ii) and credit **income** column with the same amount.

c) Sales “cum-int”

i) Work out the net proceeds of sale, after deducting brokerage and transfer fees etc. from the sale price.

ii) Calculate the dividend on the securities sold from the date of sale to the due date of payment of the dividend. This amount represents the income deducted from the sale proceeds. On receipt of dividend, **credit** this to **cost** column and the balance to **income**.

d) Sales „ex-int”

i) The amount of dividend or interest by which the selling price is reduced is debited to income column and credited to capital column.

ii) The whole of the net sale proceeds are credited to the capital column.

Ordinary Shares Or Equity Shares

When the ordinary shares are purchased, the full cost investment including expenses is debited to the „cost” column. There is no apportionment of dividends on the purchase or sale of ordinary shares. On a sale of ordinary shares, it is necessary to calculate any profit or loss on sale. For this purpose, the „average cost” at the date of sale is used for the calculation of profit or loss. The holders of the ordinary shares are mostly entitled to receive some bonus shares and rights issue. In this case, the following procedure is adopted.

a) Bonus Issue

When successful companies issue bonus shares to capitalize their reserves, the shareholders are not required to pay any amount for such shares. The number of shares will be entered in the number of face value column and nothing will be added in the amount of principal or capital column.

b) Rights Issue

If shares are first offered to the existing shareholders as a matter of their right, such shares are called right shares. Such shares may be purchased by the shareholders or the right may be renounced in favour of a third party for a consideration. If the shares are purchased, the number of shares and amount paid will be entered in the number and principal column respectively. If such shares are sold, the amount received will be entered only in the principal column. These are treated as under:-

i) Rights taken up-enter in **nominal** column the number of shares taken up and in cost column the cost of shares.

ii) Rights sold-credit proceeds to sale in **cost** column. This sales does not result in a profit or loss but reduces the „average” cost of the share holding.

c) Sales

In calculating the profit or loss on disposal a bonus issue or a right issue will affect the average cost of shares being sold.

Points to remember:

a) Market Prices

Where two prices are quoted, for example sh 12 and sh. 14.

- i) Selling price is the lower i.e. sh 12.
- ii) Purchase price is the higher i.e. sh 14
- iii) For calculating the market value for balance sheet purposes, the mid-market price is taken i.e. sh 13.

b) Income Tax

- i) Examination questions on investment account normally state that income tax is to be ignored.
- ii) If income tax is to be taken into account then all apportionments for interest or dividends must be made on net income.

c) Income from Investment

At the end of the accounting period, the total income received is transferred to the profit and loss account. In this case.

DR: The investment account (income column)

CD: Profit and loss account

ENTRIES IN INVESTMENT ACCOUNTS

Investment account is an asset account. When investments are made by a business concern then a separate account is opened for each security or investment. The investment accounts have three columns on each side of the account. These columns are ruled as under:-

Investment Account						
Nominal	Income	Capital		Nominal	Income	Capital
sh	sh	sh		sh	sh	sh

--	--	--	--	--	--	--

The nominal column records the nominal of each transaction. It is not a part of double entry. It is just a memorandum column. The income and capital column are part of double entry and these columns record the incomes and costs of securities or shares respectively.

Illustration

AB Ltd. bought sh60,000, 10% loan stock of Expo Ltd. on 1st March 19-8 at 90 cum int. Interest is payable half yearly on 30th June and 31st December.

Required:

Show the entries in AB Ltd's ledger for the year ended 31st December 19-8. Ignore income tax.

Answer

Books of AB Ltd. 10% Loan Stock of Expo Ltd.

	Nominal	Income	Capita		Nominal	Income	Capital
19-8 Mar 1 Bank a/c	sh 60,000	sh 1,000	sh 53,000	19-8 June 30 Bank a/c	sh 3,000	sh 3,000	sh
Dec 31 Profit & loss		5,000		inst. Dec 31 Bank a/c		3,000	
Invst.inco me				interest Dec 31	60,000		53,000
	60,000	6,000	53,000	Bal: c/d	60,000	6,000	53,000

Workings:

$$\text{Purchase price} = \frac{90}{100} \times \text{sh}60,000 = \text{sh}54,000$$

$$\text{Accrued interest} = \frac{10}{100} \times \text{sh}54,000 = \text{sh}5,400$$

Capital cost = sh54,000 - sh1,000 =sh53,000 Investment

Income: (10 months i.e. 1st March to 31st December):

$$\frac{10}{12} \times \text{sh5,000} = \text{sh4,166.67}$$

$$\frac{10}{12} \times \text{sh60,000} = \text{sh50,000}$$

Interest for six months:

$$\frac{6}{12} \times \text{sh3,000} = \text{sh1,500}$$

Key terms

Business segment:

A component of an enterprise that (a) provides a single product or service or a group of related products and services and (b) that is subject to risks and returns that are different from those of other business segments (IAS 14 paragraph 9).

Geographical segment

A component of an enterprise that (a) provides product and services within a particular economic environment and (b) that is subject to risks and returns that are different from those of components operating in other economic environments. (IAS 14 paragraph 9).

Forms of segmentation

A business segment is a distinguishable component of an enterprise providing products and services with similar risks and returns based on factors such as the nature of the products or services, nature of production processes, types of class of customer and the distribution methods used.

A geographical segment is a distinguishable component of an enterprise that provides products or services within a particular economic environment that is subject to risks and returns that are different from those components operating in other economic environments. Geographical segments may be based either on location of the enterprise's assets or on location of customers. The following factors should be considered: similarity of economic and political conditions, relationships between operations in different geographical areas, proximity of operations, special risks associated with operations in a particular are, currency risks and exchange control regulations.

Identifying Segments

IAS 14 adopts a „management approach“ to segment definition. It is a way of reporting segment information „through the eyes of management“, to se the business as the chief decision maker sees it. The business and geographical segments for external reporting purposes will mainly be determined by the entity's internal organizational and management structure and its system of

internal financial reporting to the board of directors and the chief executive office. Only where the segments reported internally to the directors and management do not satisfy the definitions of „business segment“ or „geographical segment“, should management look to the next lower level of internal segmentation that reports information along product and services lines. IAS 14 presumes that, at some level in the enterprise, internal financial reports for products and services will be available; this information should be the basis of determining segments for financial reporting purposes. With respect to the format and structure of a segment, paragraph 27 of IAS14 says.

An enterprise's internal organizational and management structure and its system of internal financial reporting to the board of directors and the chief executive officer should normally be the basis... for determining which reporting format is primary and which is secondary.

The idea of a „matrix approach“, or mixed segment approach to segment reporting is introduced at paragraph 27. An example of matrix approach with both geographical and product segment sales disclosure is given below.

**Broke Bondy Beverages Ltd. Tea, Coffee and Mineral Water :
Segment Sales**

	Tea	Coffee	Mineral
Kenya	15,000	65,000	155,000
Uganda	205,000	55,000	20,000
Tanzania	55,000	40,000	22,000
Mozambique	35,000	60,000	93,000
South Africa	75,000	50,000	15,000
Totals	385,000	270,000	295,000

The matrix or mixed approach discloses the maximum amount of information by combining both business and geographical information.

Reportable Segments

Not all business and geographical segments identified are „reportable segments“ i.e. segments that are required to be separately reported under IAS 14. An enterprise's reportable segments are those business and geographical segments for which a majority of revenue is earned from sales to external customers and which satisfy the following quantitative criteria:

- Revenue from sales to external customers and from transactions with other segments is 10% or more of the total revenue, external and internal, of all segments; or
- Segment results is 10% or more the combined results of all segments in profit or all segments in loss, whichever is greater in absolute amount; or
- Assets are 10% or more of the total assets of all segments.

Segments that are neither separately reported nor combined with other segments should be included in the segment reporting format as an unallocated reconciliation item, a segment comprising all other businesses or „other“ category. The business lines included in „other“ or as a reconciling item should be appropriately described. For vertically integrated segments (those that earn a majority of their revenue from inter-segment transactions), IAS 14 encourages, but does not require separate reporting. If not separately reported, the selling segment is combined with the buying segment. If total external revenue attributable to reportable segments identified using the 10% thresholds outlined above is less than 75% of the total consolidated or enterprise revenue, additional segments should be identified as reportable segments until at least 75% of total consolidated or enterprise revenue is included in reportable segments.

For comparability purpose, prior period segment data should be restated to reflect current changes in segmentation, unless it is impracticable to do so. If a segment satisfied the 10% threshold criteria in the preceding period, but ceases to do so in the current period its status as reportable segment should be continuing significance.

Benefits of segmental reporting

International Accounting Standard 14: Segment Reporting states, in its objective paragraph that:

“The objective of this Standard is to establish principles for reporting financial information by segment: information about the different types of products and services an enterprise produces and the different geographical areas in which it operates to help users of financial statements:

- a. Better understand the enterprise’s past performance;
- b. Better assess the enterprise’s risks and returns, and
- c. Make more informed judgments about the enterprise as a whole.

Predictive ability (forecasting) tests and stock market reaction tests have been performed to determine the benefits of Line of Business (LOB) and geographic segmental information. These methods have been used help avoid the problems of ignorance and „gaming“ in the context of user surveys. Splitting of income into relevant line of business components is desirable for assessing company performance and for predicting future performance. Different segments of operations may be subjected to different internal and external environmental factors including rates of profitability of return, degrees of risk and opportunities for growth.

Segmental reporting helps users to better forecast the performance of and evaluates the risk associated with an entity. Forecasts are more accurate if they are based on segmental data rather than consolidated earnings. Moreover forecasts based on geographical segmental disclosures are more accurate than those based on consolidated earnings. Geopolitical risk and related factors are important for investors and businessmen. Consequently, the provision of geographical information for a transactional enterprise must contain significant information over and above a financial statement that does not contain geographical segment information.

Arguments against segmental disclosure

There are several arguments against not reporting segmental reporting. These include:

- (i) There is the view that investors, participate in the company as a whole, not in particular segment.
- (ii) Additional disclosures may weaken the company's commercial position because it may have given its „secrets“ away.
- (iii) The benefits are likely to arise from producing such information are not likely to justify the expense.
- (iv) The side variation amongst firms in the choice of segments, cost allocation and other accounting policies limits the usefulness of segmental information.

The costs of segmental reporting include the direct costs of compiling, processing, and disseminating such information and the costs associated with competitive disadvantage. The argument involving the direct costs of the information has doubtful validity in most cases. Enterprises need disaggregated information for internal purposes and produce such information already. Given the extensive use of computerized information systems, the generation of such information for external users would not be particularly expensive.

The argument of competitive disadvantage may apply at the corporate level; however, it may not be a problem at the level of the economy as a whole. Segmental information might be considered an advantage to society if it aids competition and investor evaluation. In addition, the argument that segmental reporting weakens the position of a large enterprise against single industry corporations is invalid as such corporations generally disclose for more information about their single segment than do any multi-segment enterprises.

A number of problems arise in auditing and verifying disclosed segmental information. Particular problems involve common cost allocations, intra-group transfers, and transfer pricing.

Another major problem is determining whether the identified segments are reasonable. A lack of guidance in identifying segments in most countries implies that corporations can manipulate disclosures to present the best possible picture of their operations. While this lack of guidance allows enterprises to provide more relevant disclosures that are specific to their operations, it also decreases comparability among corporations.

The question of competitive disadvantage is highly contentious. Enterprises tend to argue that any additional disclosure could give rise to a competitive disadvantage. In general, the more future-oriented the information and the more quantitative the disclosure then the more likely are issues relating to competitive disadvantage to be of serious concern to enterprise. In the context of segment information, narrowly defined segments give rise to more sensitive disclosures than broadly defined segments. This is because competitors can see more precisely where profits are being generated. Profit-related information about assets as well as profits its required to be disclosed then this is even more sensitive as return on investment can be calculated and relative profitability assessed. While disclosure in the domestic context may be perceived to be problematic, internationally this is likely to be more the case where competitors are based in countries with less rigorous segment reporting requirements.

Illustration

ICPAK is an accounting professional membership body for Accountants that has 20,000 members. The association operates from Nairobi but has local membership chapters in the major towns of the country. The association's journal, *The accountant*, is issued quarterly with features about recent developments in the field. The association publishes books and reports and offers continuing professional education training course.

The statement of income and expenditure for the year ended 31st December 2002 is presented below.

ICPAK Statement of Income and Expenditure For the year ended 31st December 2002

	Kshs'000'	Kshs '000'
Revenue	branches 600,000	Other membership services 500,000
Expenses	Printing and stationery 320,000	Postage and shipping 176,000
Salaries and wages 920,000	Other Payroll Tuition fees 80,000	
costs 230,000	Rent 280,000	3,275,000
Reimbursement of expenses to local		

General and administrative expenses 38,000 3,144,000 **Surplus 131,000**

You are required to present a segmental statement of operations showing the contribution of the profit centres (i.e. Membership, journal Subscriptions, books and Reports and Continuous professional Education (CPE). After perusing the accounts you gather the following data.

Membership fees are Kshs100,000 per year, of which Kshs.20,000 is a one year subscription to the *Accountant Journal*. Other benefits include membership of the association's members only sports club.

One year subscriptions to *Accountant Journal* were sold to non members at Kshs30,000 each. A total of 2,500 of non member subscriptions were sold. In addition to subscriptions, the magazine generated Kshs100million in advertising revenue. The costs per journal subscription were Kshs7,000 for printing and stationery and Kshs4,000 for postage and shipping.

A total of 28,000 technical reports and professional articles were sold by the Books and Reports department at an average unit selling price of Kshs25,000. Average costs per publication were as follows:

Printing and Stationer Kshs 4000

Postage and Shipping Kshs 2000

ICIPAKA offers a variety of continuous professional education courses both to members and non-members. During the year 2002 the one day course, which cost participants Kshs75,000 each, was attended by 2,400 people. A total of 1,760 people took two day courses at a cost of Kshs 125,000 per person. Part time consultants were paid to teach some course.

Salary and occupancy data of the various segments were as follows:

**Salaries Square
Kshs “000” Metres**

Membership 210,000 2,000 Magazine Subscriptions 150,000 2,000 Books and Reports 300,000 3,000 Continuing Education 180,000 2,000 Corporate Staff 80,000 1,000

Totals Kshs 920,000 10,000

Space rented by the Books and Reports department amount to Kshs 50,000 per annum, Payroll costs amount to 25% of salaries, books, and reports relate to the Continuous professional Education Department.

General and administrative expenses operating costs of the association.

ICPAK has decided to assign all revenues and expenses to the profit centres that can be: (1) traced directly to a revenue centre, and (2) allocated on a reasonable and logical basis to a revenue centre. The expenses that can be traced or assigned to corporate staff, as well as any other expenses that cannot be assigned to revenue centres, will be grouped with the general and administrative expenses and not allocated to the revenue centres. ICPAK believes that allocations often tend to be arbitrary and are not useful for management reporting and analysis. ICPAK also believes that any further allocation of the general and administrative expenses associated with the operation of the administration of the association would be arbitrary.

Required

- (a) Prepare for publication in accordance with IAS 14 a segmented financial statement for ICPAK professional body.

Suggested solution:

For publication under IAS 14

ICPAK Segment Statement of Income and expenditure account. For the year ended 31st December 2002

		Membership	Magazine subscription Revenue Centre	Books and Reports	Continuing Education	Corporate staff
	Total Kshs000	Kshs000	Kshs000	Kshs000	Kshs000	Kshs000
Revenue to external customers	3,275,000	1,675,000	500,000	700,000	400,000	0
Expenses	920,000	210,000	150,000	300,000	180,000	80,000
Salaries Payroll Costs	230,000	52,500	37,500	75,000	45,000	20,000
Occupancy costs (Rent) Occupancy cost solely for Books and Reports	280,000	56,000	56,000	84,000	56,000	28,000
Reimbursement of expenses to local branches	50,000			50,000		
Other membership services	600,000					600,000
Printing and stationery Postage and shipping	500,000					500,000
Tuition fees	320,000		157,500	112,000	50,500	30,000
General and administrative expenses	176,000		90,000	56,000	80,000	38,000
Result	81,000	1,356,500	9,000	23,000	11,500	1,296,000

Accounts required for returnable containers:

For returnable containers, the following accounts are opened in the books of the supplier.

a) Containers stock account

- i) This account records all transactions relating to containers owned by the company.
- ii) The account shows the stock the at book value at the commencement and close of the period and includes not only the containers in the warehouse but also those with customers for which the stipulated time for return has not expired.
- iii) Purchase and sales of containers including cost of repairs and containers scrapped are shown in this account.

- iv) In order to deal adequately with the above matters the account should be ruled with columns for quantity and value.
- v) Shows profit or loss on containers transactions during accounting period. It can be considered as containers profit and loss account.

b) Customers suspense account

- i) this account shows the credit due on containers with customers for which the stipulated time for return has not expired.
- ii) The following transactions are dealt with through this account:
 - Containers charged to customers
 - Hire profit on containers sent to customers is transferred to containers stock account.
 - Containers returned credited back to customer's accounts.
 - Containers retained (effectively sold) credited to stock account.
- iii) The account should be ruled with columns for quantity and value.

Definition of Terms Used

The terms used in the above mentioned accounts are defined as under.

- i) Cost – the actual amount paid for containers purchased.
- ii) Depreciated value – the value of containers for stock purposes.
- iii) “charge-out” price – the value at which containers are charged out to customers.
- iv) “Credit back” price – the value at which credit is given to customers for containers returned.
- v) “Hire profit” – is the difference between “charge out” price and “credit back” price.

Accounting Entries

Accounting entries in respect of returnable containers are made as

under:- b) Charge out price of containers

DR: Customer's personal accounts
CR: Containers suspense account

- c) Difference between charge out and credit back price of containers (being as immediate profit)

DR: Containers suspense account
CR: Containers stock account

d) Credit back price of containers returned

DR: Containers suspense account
CR: Customer's personal account

e) Credit back price of containers retained by customers

DR: Containers suspense account
CR: Containers stock account

f) Cost of Purchase of new containers

DR: Containers stock account
CR: Cash account

g) Cost of repairs to containers

DR: Containers stock account
CR: Cash account

h) Cash received for containers scrapped

DR: Cash account
CR: Containers stock account

i) Profit on Containers being balance on stock account

DR: Containers stock account
CR: Profit and loss account

Points to Remember

1. When goods are sold in containers the personal accounts of customers are debited with the following:-
 - a) The selling price of the goods and
 - b) The selling price of the containers ("charge out" price)
2. Periodically the total for goods sold is credited to sales account and the total for containers charged is credited to containers suspense account.
3. When containers are returned by customers, the containers suspense account is debited and the personal account of the customers credited with the "credit back" price.

4. Containers suspense account represents the amount charged out in respect of returnable containers. Since this account is included in balance of the **Total Debtors**, for balance sheet purposes, the credit balance on containers suspense account is deducted from total debtors.
5. Containers are returnable within a stated period. The same containers may be sent to customers several times during the year. Therefore the number of containers sent out to customers during the year could be several times of the number in stock.
6. A balance figure in the quantity column is generally required in examination problem. This figure may be containers (**missed a word**) customers, stock in warehouse or with customers. By completing both quantity and value columns with the information given in the question, the missing information will be the balancing figure.
7. Stock of containers with customers, and in the warehouse are carried down at the depreciated value on the containers stock account. The balance on the stock account represents the profit or loss on containers transactions during the year which may be proved as follows:

Sh

Profit on containers sent to customers	34,000
Additional Profit on containers retained by customers (difference between "credit back" price and depreciated stock Value)	3,200 sh
Deduct: Containers repairs	1,000
Depreciated (difference between Cost and stock value)	10,000
Loss on containers scrapped	<u>800</u>
	<u>11,800</u>
Profit (or loss)	25,400

The balance on containers suspense account represents the containers with customers for which the stipulated time to return has not expired and is shown at the "credit back" price.

Illustration

XYZ Ltd dispatch their goods to customers in returnable cases which remain the property of XYZ Ltd. A deposit charge is made and when the returned, there is partial refund.

The cases cost sh. 12 cash and they are charged to customers at sh. 15 each. Upon return of the cases, the customers are credited with sh. 10 each. For stock-taking purpose, all cases are valued at sh. 7.50 each.

Records reveal that on 1st January 19-8 there were 14,000 cases in stock on the company's premises and 5,000 cases in the possession of customers.

During the year ended 31st December 19-8, the following transactions occurred:- j)

47,000 Cases were dispatched to customers, 39,600 were returned by customers. ii)

1,600 cases were damages and scrapped. They were sold for shs. 2,000. iii) 19,000

new cases were purchased.

iv) The company paid sh. 6,000 during the year in respect of repairs to cases. v) 2,000 Cases were kept by customers permanently. On 31st December 19-8, there were 10,400 cases in the possession of customers. A physical check of those held by XYZ Ltd. showed no discrepancy.

Required:

Write up the cases stock account and cases suspense account of XYZ Ltd for the year ended on 31st December 19-8 and find out the profit or loss for the year as a result of those transactions.

(i) Cases Stock Account

	Rate	Qty	Amount		Rate	Qty	Amount
19-8	Sh	14,000	Sh	19-8	-	Sh	Sh
Jan 1 <u>Balance b/f</u>		5,000		Dec 31 <u>Cash</u>			
At premises	75		105,000	<u>Account</u> Scrapped		1,600	2,000
With customers	75	19,000	37,500	Cases sold			
Dec 31 <u>Cash</u>				Dec 31 <u>Cases</u>	-		
<u>Account</u>	120		228,000	<u>susp - ense a/c</u>			
Purchases			6,000	Hiring charges		-	235,000
Repairs							
Dec 31 <u>Profit & Loss</u>			138,500	Dec 31 Cases			
<u>Account</u>				Susp Ense a/c	10		
Profit on				Cases kept by	75	2,000	20,000
Usage of cases				Customers	75		
				Dec 31 <u>Balance c/d</u>		24,00	180,000
				At premises		0	78,000
				With		10,40	
				customers		0	
		38,000	515,000			38,00	515,000
						0	

Note 24, 000 cases at premises is the balancing figure.

Cases Suspense Account

	Rate	Qty	Amount		Rate	Qty	Amount
19-8				19-8			
Dec 31 <u>Customers</u>				Jan 1 <u>Balance b/f</u>			
<u>Account</u>				Cases with			
Cases returned				Customers			

By customers	Sh	39,600	Sh	Dec31 <u>Customers</u>	10	Sh	Sh
Dec31 <u>Cases</u>				<u>Account</u>			
Hiring profit				Cases charged		5,000	50,000
Dec31 <u>Cases</u>	10		396,000	To customers	15		
Dec31 <u>stock Account</u>							
Cases kept by		2,600	235,000	-		47,00	705,000
Customers						0	
Dec31 Bal: c/d		10,000					
Cases with	10		20,000				
customers							
	10		104,000				
		52,000	755,000			52,00	755,000
						0	

Reconciliation of Profit

sh

Profit on cases sent to customers 235,000 Add: Profit on cases kept by customers
5,000 240,000

Deduct

sh

Repairs of cases 6,000

Depreciation on cases purchases during the year 85,500

Loss on cases scrapped 10,000 101,500 Profit – Transferred to P & L a/c 138,500

Workings

W-1 Profit on cases kept by customers:

Sh

Credit back price 10.00

Value of cases net of depreciation 7.50

Profit per case 2.50

For 2,000 cases = 2.50 x 2,000 = sh 5,000

W-2 Loss on scrapped cases:

Sh

Book value of 1600 cases = 7.50 x 1600 = 12,000 Less proceeds from sale of
scrapped cases 2,000

Loss 10,000 W-3 Depreciation of cases purchased:

Sh

Purchase price 12.00 Book value 7.50

Depreciation per case 4.50 For 19,000 cases, Depreciation – sh. 85,500

Illustration

The G company supplies gas in expensive containers which are returnable after use. These containers cost sh20 each and are charged out to customers on sale or return within six months at sh26 each. Provided they are returned within the six months period they are credited at sh23 each.

At the end of the year, the company values all returnable containers in customer's hand and containers held in stock at sh16 each.

You are advised that

At the at the
Beginning of end of the
Year year

Containers held by the company 2,760 3,144

Returnable containers held by customers 4,790 2,910

During the year 3,100 new containers were purchased, 20,620 were invoiced to customers and 17,960 were returned. On inspection 260 required repairs costing sh325 and 56 had to be send as scrap for sh60.

From the information given above prepare

- Containers stock account
- Containers suspense account
- A statement showing the profit and loss on dealing in containers.

a) Containers Stock Account

19-9	Rate	Qty	Amount	19-9	Rate	Qty	Amount
Jan 1 Bal: b/f				Dec31 Bank a/c			
At premises				Scrapped cont			
With customers				ainers sold			
Dec31 Bank a/c				Dec31 Containers			
Purchases				Suspense a/c			
Repairs				Hiring charges			
Dec31 Profit & Loss							

a/c -profit on usage Of containers	sh	2,760 76,640	sh	-containers kept By customers	23	sh	sh
	10		44,160	Dec31 Bal. c/d	16		
	10	3,100		At premises	16	50	60
	20		62,000 325	With customers			61,860
			80,079			4,540	104,420
						3,144	50,304
						2,910	46,560
		10,650	26,204			10,650	263,204

b) Containers Suspense Account

19-9 Dec31 customer a/c Containers Returned Dec31 Containers Stock a/c -Hiring profit - containers kept By customers Dec31 Bal. c/d Containers With customers	Rate	Qty	Amount	19-9 Jan1 Bal. b/f containers customers Dec31 customers a/c Container charged To customers	Rate	Qty	Amount
	sh	17,960	sh		23	sh	sh
	23	4,540	413,080		26	4,790	110,170
	23	2,910	61,860 104,420			20,620	536,120
	23		66,930				
		25,410	616,290			25,410	640,390

c) Statement Showing the Profit on Containers

sh

Profit on containers sent to customers 61,860 Add. Profit on containers
kept by customers 31,780 93,640

Deduct sh
Repairs of containers 325
Depreciation on containers 12,400
Loss on scrapped containers 836 13,561 80,079

Workings:

W-1 Profit of cases kept by customers

sh

Credit back price 23

Value of containers net of depreciation 16

Profit per container 7

For 4,540 containers = sh 7 x 4,540 = sh31,780

W-2 Loss on scrapped containers

Book value of scrapped containers sh

(i.e. sh16 x 56) 896

Less proceeds 60

Loss 836

W-3 Depreciation of containers purchased:

sh

Purchase price 20

Book value 16

Depreciation per container 4

For 3,100 containers, depreciation (sh3,100 x4) = 12,400

Activity

1. Define containers and distinguish between returnable and non-returnable containers.
2. Discuss the main purpose of the following accounts:
 - i) Containers Stock Account
 - ii) Containers Suspense Account
3. Define the following terms used in containers account.
 - i) „Charge-out“ price
 - ii) „Credit back“ price
 - iii) „Hire profit“
4. Explain the accounting entries in respect of the transactions of returnable containers.
5. RST Ltd sells its goods in containers which are returnable. These containers are purchased by the company at sh. 20 each per container but each container is written down to the book value of sh. 15 per container immediately it is purchased. For stock-taking purpose, all containers are valued at sh.15 per container irrespective of whether they are still in stock or in the hands of customers. Containers are charged out to customers at sh.25 per container, but the customer is credited with sh 18 per container if it is returned in good condition within

three months of receipt.

The following information relates to the year ended on 31st March 19-9:

- a) Stock as at 1.4.19-8 Containers
 - At premises 10,000
 - With customers 2,000
- b) During the year 15,000 containers were purchased.
- c) 40,000 containers were issued to customers.
- d) 35,000 containers were returned by customers within the time limit.
- e) 3,000 containers were not returned by the customers within the time limit.
 - These were considered as kept by the customers permanently.
- f. 1,000 cases were scrapped and sold for sh.3,000.
- g) sh.7,000 was spent on the repair of the containers.
- h) On 31st March 19-9, 4,000 containers were in the possession of customers.

**Require
d:**

Write up the containers stock account and containers suspense account of RST Ltd for the year ended on 31st March 19-9 and find out the profit or loss for the year as a result of these transactions.

6. Ideal Chemical Ltd supply their products in returnable containers. A container is invoiced to the customer at sh.40 but if it is returned within two months, a credit of sh.35 is given to the customer. A container costs sh.35 to the company and its life is estimated 6 years at the end of which scrap value is likely to be sh.5. The following particulars are supplied to you:

	Nos.
Containers with customers (1.1.19-8)	10,000
Containers in stock (1.1.19-8)	14,000
Containers sent to customers during the year 19-8	60,000
Containers returned by customers	63,000
Containers returnable	6,000

Containers purchased during the year 1,000
Containers condemned during the year, useful life being over 1,500
Amount realized by sale of condemned containers
sh.8,000
Depreciation is to be provided on straight line
basis.

**Require
d:**

Write up containers stock account and containers suspense account of Ideal Chemical Ltd for the year ended 19-8 and find out the profit or loss for the year as a result of these transactions.

Accounting Treatment Of Joint Ventures

There are various ways in which Joint Ventures Accounts can be maintained. Various methods regarding the joint venture accounting are the following.

1. The record is kept only at the place of business and only one venture is given the responsibility of keeping the record of the joint venture transactions.
2. No separate books of account are kept but each venture maintains personal accounts of all other ventures and one joint venture account in his own books of account.
3. Each venture records only such transactions of the joint venture which affect him personally but a memorandum joint venture account is opened to determine the profit or loss of joint venture.
4. A separate set of books of account is opened. This method is adopted when the venture is big enough to justify separate set of books,

Joint Venture Accounts With Memorandum Joint Venture Account.

This method is most commonly used to keep the records of joint ventures. We will discuss only this method in this book.

Under this method, all the ventures maintain accounts relating to joint venture but each venture records only those transactions which are affected by him. The following procedure is adopted in this method:-

1. Each venture opens the personal accounts of other co-venturer in which he records transactions relating to the joint venture. This personal account of the co-venturer is headed as "Joint venture with ... Account". For example, if „X“ and „Y“ enter into a joint venture then in the books of X it will be „Joint Venture with Y Account“ and in the books of Y it will be "Joint Venture with X Account".
2. Transactions are recorded by the venture with reference to "Joint venture with.... Account". For example, if goods are supplied and expenses met by „X“ on account of joint venture then the entry in the books of „X“ will be as follows:-

DR: Cash venture with "Y" Account.

CR: Purchase Account (for goods supplied)

CR: Cash Account (for expenses met)

Similarly, if the other venturer “Y” affects sales and realizes cash on behalf of venture then the entry in the books of “Y” will be as follows.

DR: Cash Account

CR: Joint venture with “X” Account.

3. To ascertain the profit of the joint venture “Memorandum Joint Venture Account” is prepared in the books of all the venturers. Memorandum joint venture account is prepared exactly on the pattern of “profit and Loss Account”. On the basis of information supplied by the parties concerned all the transactions relating to the joint venture are entered in this account. Methods of writing up this account is that enter all the debits appearing in the personal account of all the ventures on the debit side of memorandum joint venture account and enter all the credits appearing in the personal account of all venturers on the credit side of memorandum joint venture account. Contra items, such as bills of exchange accepted by venture to another venture, being eliminated. The difference in the two sides of the memorandum account is either a profit or loss. The loss or gain is divided among co-venturers in the agreed profit sharing ratio.

4. For transferring profit on venture i.e. own share of profit

DR: Joint venture withAccount

CR: Profit and Loss Account.

5. Joint venture with....Account is balanced and the difference is settled by paying/receiving cash. Final balances on joint venture withAccounts for all parties should be equal opposite.

Illustration

„A” and „B” were partners in a joint venture sharing profits and losses in the ratios 3:2 respectively. „A” supplies goods to the value of sh.50,000 and incurs expenses amounting to sh.4,000. „B” supplies goods to the value of sh. 40,000 and his expenses amount to sh. 3,000. „B” sells goods on behalf of the joint venture and realize sh. 120,000. „B” settles his account by bank draft.

Required:

(i) Joint venture accounts as these would appear in the books of „A” and „B”. (ii) a memorandum joint venture account.

Answer:

(i) Books of „A”

Joint Venture with „B” Account

sh	sh
----	----

Bank a/c (Grounds purchased) 50,000 Bank a/c (Expenses incurred) 4,000 <u>Profit share</u> P & L a/c <u>13,800</u> 67,800	Bank a/c (Received from „B“) 68,700 67,800
---	--

(ii) Books of „B“

Joint Venture with „A“ Account

sh	sh
Bank a/c (Grounds purchased) 40,000 Bank a/c (Expenses incurred) 3,000 <u>Profit share</u> P & L a/c 9,200 Bank a/c (Payment to „A“) <u>67,800</u> 120,000	Bank a/c (Sale proceeds) 120,000 120,000

(iii) Memorandum Joint Venture Account

Joint Venture with „B“ Account

sh	sh
Goods purchased „A“ 50,000 „B“ 40,000 Expenses incurred „A“ 4,000 „B“ 3,000 Profit share „A“ 3,800 „B“ 9,200 <u>23,000</u> 120,000	Sales 120,000 120,000

Illustration

Tower and Castle entered into a joint venture to buy and sell a quantity of steel pipes. It was agreed that Tower should receive a commission of 2% on all sales in consideration for which he was to bear all losses from bad debts. Subject to this arrangement, profits and losses were to be shared equally.

On January 2nd, 19x0, Tower purchased goods for sh6,800 for which he paid sh4,800 in cash, and accepted bills of exchange for sh800 and sh1,200.

On January 3rd, tower sent to Castle goods which had cost sh2,750 and Castle paid sh3,500 to Tower.

On January 9th, tower sold goods to Brown for sh420 and to Green for sh250 and they accepted bills of exchange for the amount respectively due from them. Tower endorsed both the bills over to Castle, who discounted them (missing words) charges.

On February 3rd, Tower sold goods for sh1,800. On delivery the customer rejected goods invoiced at sh90, and these goods were collected by Castle, who sold them to another customer for sh110.

On February 11th, Brown met his bill, but Green's bills was dishonoured. Green was insolvent with no assets.

On March 5th, Castle paid the bill for sh800 which had been accepted by Tower, and Tower paid the second bill, sh1,200.

During March, 19x0, Tower sold the remainder of the goods in his possession for sh2,910, and Castle's sales amounted to sh3,400. Bad debts (apart from the amount due from Green) were sh42, of which sh30 was in respect of sales by Castle.

On April 30th, 19x0 the venture was closed. Castle took over the stock in his possession at a valuation of sh500 and the sum required to settle accounts between the ventures was paid by the party accountable.

You are required to show.

- The accounts which would appear in the books of tower and Castle respectively to record the joint venture, and
- A memorandum Joint Venture Account, showing the net profit .

Answer

Table to be inserted

Books of Tower	
Joint venture with "Castle Account	
19x0	19x0
Jan 2 <u>Goods purchased</u> Bank	Bills payable a/c

Feb 3 <u>Debtor's a/c</u>	from Castle	Feb 3 <u>Debtor's a/c</u>	
sh Jan 3 <u>Bank a/c</u>	sh		3,500
4,800 Amount received 2,000			
Returns inwards		90 Sale proceeds 1,800	Mar 5 <u>Bill paid by</u>
Apr 30 Commission (2% on sales)		<u>Castle</u>	
Apr 30 Profit share		176 Bill payable a/c 800 1,162	Mar 31 <u>Bank a/c</u>
Apr 30 <u>Bank a/c</u>		782 Sales 2,910 9,010	<u>9,010</u>
Amount due paid			
To Castle			
	Books of Castle		
	Joint venture with „Tower“	Jan 9 <u>Bank a/c</u>	
19x0	Account sh 19x0		
Jan 3 Bank a/c		sh	
Money paid to Bills receivable			
Tower 3,500 discounted 670	Mar 5 Bank a/c	Feb 3 <u>Bank a/c</u>	
Bill paid on behalf Sale proceeds 110	Of Tower 800		
Apr 30 Profit share 1,162	Mar 31 Bank a/c		
		Sale proceeds 3,400	
	Apr 30 <u>Stock a/c</u>		
		Stock taken over 500	
	Apr 30 <u>Bank a/c</u>		
	Amount due from		
		Tower received <u>782</u>	
		5,462 5,462	

b) Memorandum Joint Venture Account

	sh sh
Purchase 6,800 Sales 8,800 Commission – tower	
(2% of sales) 176 by Castle 500 <u>Profit share</u>	
Tower 1,162	
Castle <u>1,162</u> <u>2,324</u>	
	<u>9,300</u> <u>9,300</u>

Workings:

Sales:

Tower = sh670 + sh1,800 + sh2,910 - sh90 = sh5,290
 Castle = sh110 + sh3,400 = sh3,51

Total sh8,800

Note: Bad debts sh250 (bill receivable dishonoured) and sh42 have not been taken as loss in joint venture accounts because these are to be borne by Tower against the commission receivable i.e. 2% of total sales.

Activity

1. Define joint ventures and discuss the main advantages of joint ventures. 2.

Explain the accounting entries of joint ventures.

3. Write a short note on memorandum joint venture account.

4. P and Q enter into a joint venture and purchase an old house for sh.250,000, each one of them contributing shs. 125,000. for an agreed fee of sh.8,000 P is to manage the disposal of the property. P pays sh.5,000 for demolishing the house. The material of the house was sold for sh.15,000 by „P“ and he also incurred sundry expenses of sh.3,500. The whole of the land was by „P“ eventually for sh.380,000. P and Q share the profits equally. P paid Q the amount due to him by cheque.

Required:

- The account which would appear in the books of P and Q respectively to record the joint venture, and
- A memorandum joint venture account showing the net profit.

5. „X“ and „Y“ entered into a joint venture agreeing to share profits in the ratio 3:2 respectively and the following transactions took place:-

Sh.

X purchased goods 80,000
Y paid carriage and freight 2,000
Y sold goods amounting to 45,000
Y paid commission on sale 1,500
X paid storage fees amounting to 2,500
X sold remaining goods for 60,000
X paid commission Required: 1,000

- Show the joint venture accounts as they would appear in the books of „X“ and „Y“. b) A memorandum joint venture account.

6. Duke and Lord entered into a joint venture to buy and sell second-hand cars. Profits and losses were to be shared: Duke two-thirds and Lord one-third.

On August 16th, 19x9, Duke purchased two cars for sh320 and sh480 respectively. He incurred expenditure of sh120 on repairs and on September 1st 19x9, sold one of the cars for sh400 and on September 10th, 19x9, the other car for sh620.

On September 12th, 19x9, Duke purchased a further car for sh600 which was sold on September 20th, 19x9 for sh800 which amount was paid to Lord who paid it into his own bank account.

On August, 12th, 19x9, Lord purchased a car for sh400 which he sold for sh500 on August 15th, 19x9, having incurred expenses of sh40 on it. This car was returned by the customer on August 20th, 19x9, who was allowed sh480 for it. As this car was still unsold on September 30th, 19x9, it was agreed it should be taken over by Duke at a valuation of sh450.

Royalty

The royalty is a periodic payment to the owner of an asset for the use of his ownership rights. It means that they royalty is the compensation made to the owner of an asset in exchange for the right to use that asset. Royalty may be defined in the words, "Royalty is the remuneration payable to a person in respect of the use of an asset, calculated with reference to the quantity produced or sold as a result of use of such asset".

Royalty may arise in respect of the following:-

- a) For the extraction of minerals from the ground
- b) For publishing books with the permission of the author.
- c) For the use of artistic work e.g. music, movies etc.

Any lumpsum amount paid for the use of any asset is never called royalty because it is a capital payment.

The owner of the asset or right is called lessor or landlord. The person to whom the right of using the asset has been granted is called lessee or tenant.

Royalties are subject to the normal law of contract and it is most important to note the various terms of the royalty agreement.

In particular, the royalty agreement will contain clauses dealing with:-

- a) royalty per unit of output
- b) minimum rent payable
- c) recovery of short-working
- d) right to sub-let part or whole of royalty agreement.

CONCEPTS

In royalty accounts, some technical terms are used. These are explained as under:-

Minimum rent

It is also called „dead rent“ flat rent, or „rock rent“. It is the minimum amount that must be paid by the lessor in any particular year even if the lessee had not derived any benefit out of the asset. It acts as a negative incentive for lessee calling upon him to make full use of the asset. However in periods when royalty payable, as calculated as per terms of agreement, exceeds this „minimum rent“ figure the amount payable shall be the actual amount of royalty. Thus the lessee has to pay either the royalty or the minimum rent, whichever is greater.

Short workings

The short working is defined as „the excess of minimum rent over royalty“. In the initial stages of any lease, the minimum rent may be higher than the actual royalty payable. These short workings may be carried forward for a specific period as per lease agreement.

Recoupment of short workings

According to the short working clause, the lessee is empowered to recover the amount paid in excess of actual royalty out of the excess royalty over minimum rent (surplus). Till the stage of recovery is reached, he can accumulate the short workings and when once the stage of surplus is reached, he can go on recovering the excess of minimum rent, and after full recovery, pay the actual royalty.

The right of recoupment of short workings may either be unrestricted or restricted. If unrestricted, the right may be enjoyed throughout the period of lease agreement. If restricted, the lessee may be permitted to recoup short workings for a few years only. The lease agreement may provide for two types of recoupment period conditions.

(a) Recoupment over a fixed period from commencement of lease agreement

Under such condition, the lessee may be permitted to recoup short workings for a few years only commencing from the date of agreement. As soon as the period of recoupment expires, all unrecouped short workings are immediately transferred to profit and loss account.

(b) Fluctuating right of recoupment of Short workings:

Right of recoupment is said to be fluctuating when agreement provides that short workings can be recouped by the lessee in the next two or three years after the year to which short workings relate, for example, if agreement provided that short workings of any year can be recouped by the lessee in the next 3 years following the year to which short workings relate, the short working arising in first year can be recouped during second, third and fourth year only, the short workings of second year can be recouped during third, fourth or fifth year, and the short workings arising in third year can be recouped in fourth, fifth and sixth year only.

Sub-Lease

A mining lessor or patent holder sometimes gives to the lessee the right of sublet part of land/right to a sub-lessee and on the exercise of this right three parties come into existence: lessor, lessee and sub lessee. The relation between the lessee and the sub-lessee is the same as between the lessor and the lessee, i.e. the lessee is the land lord of sub-lessee.

The sub-lease also provides for the payment of an agreed royalty merging into a minimum rent with a right of recoupment of short workings.

In the lessee's books either one account for recording both royalties payable and receivable or separate accounts for them may be kept. The balance of the royalties account or accounts will be transferred to profit and loss account. The account of royalties payable by the lessee to the original landlord must be calculated on the total output of both the lessee and the sub-lessee.

ACCOUNTS REQUIRED AND THEIR PURPOSE

The following accounts are opened in respect of royalty transactions:-

- i) Royalties Payable Account: shows the royalty payable on the actual extraction or production for the period, being the total of the tenant's and sub-tenant's production
- ii) Landlord's(Lessor's) Account : Shows the actual amount paid to the landlord for the period which may be the minimum rent or if more, the royalty payable less short workings recouped.
- iii) Short Workings Account: When production royalties are less than minimum rent this account is debited with the royalty on the „short workings“.
- iv) Accounts for Sub-tenants: Where there is a sub-tenant, it is advisable to open further three accounts, corresponding with the three mentioned above. These are: - royalties receivable account
 - sub-tenant's account
 - short workings account (sub-tenant)

Important Points

- i) Royalties are part of the cost of production or sales and should be transferred to production or manufacturing account or trading account, as appropriate, and never to profit and loss account.
- ii) Irrecoverable short-workings are debited to profit and loss account and should be written off in the accounting period in which the right to recoupment expires.
- iii) Income tax is deducted from payments of mining royalties (not copy-right) but is normally ignored for examination purpose.
- iv) Where a sub-lease is made at a royalty which will yield a profit to the lessee the amount receivable will consist of the sum payable by the tenant to the landlord calculated on the output of the sub-lessee, plus the profit to the lessee.

The sum payable by the tenant to the landlord will be transferred from royalties receivable account to royalties payable account and the profit to the lessee, will be transferred from royalties receivable account to profit and loss account.

- v) Balance sheet disclosure of short-workings – normally any short workings recoverable will be included with debtors and pre-payments. If the amount is material it would be disclosed separately.

Accounting entries

The following accounting entries are made in the royalty accounts:-

- a) When there is no provision for minimum rent:

- i) Royalty based on actual production
 - DR: Royalties payable account
 - CR: Landlord's account
- ii) Cash paid to the landlord:
 - DR: Land lord's account
 - CR: Case account

- b) When there is provision for minimum rent

- i) Royalty based on production
 - DR: Royalties payable account
 - CR: Landlord's account
- ii) Short workings to be recovered in future
 - DR: Short workings account
 - CR: Landlord's account
- iii) Cash paid to landlord
 - DR: Landlord's account
 - CR: cash account

- iv) Short workings irrecoverable (if any)
 - DR: Profit and Loss account
 - CR: Short workings account

- c) When Royalties exceed minimum rent:

- i) Royalty based on actual production:
 - DR: Royalties payable account
 - CR: Landlord's account

- ii) Short workings recouped (if any):

- DR: Landlord's account
 - CR: Short-workings account

- iii) Cash paid to the landlord:

DR: landlord's account
CR: Cash account

Note: Cash paid to the landlord must be less than minimum rent

iv) Short workings irrecoverable:
DR: Profit and Loss account
CR: Short workings account

d) Entries in case of sub-lease:

i) Royalty payable based on actual production (i.e own + sub-tenant): DR:
Royalty payable account
CR: Landlord's account

ii) Royalty receivable (based on sub-tenant's production):

DR: Sub-tenants account
CR: Royalties account

iii) Short workings recoverable in future by sub-tenant:

DR: Sub-tenants account
CR: short workings sub-tenant) account

iv) Royalty payable by tenant on sub-tenants production:

DR: Royalties receivable account
CR: Royalties payable account

v) Profit on sub-lease

DR: Royalties receivable account
CR: Profit and loss account

vi) Short workings irrecoverable by sub-tenant:

DR: Short workings (sub-tenant) account
CR: Profit and Loss account

Illustration

XYZ Ltd leased a coalfield from OP Ltd for a period of five years from 1st January 19-1 on a royalty of sh.100 per ton of coal raised with a minimum rent of sh. 500,000 p.a. and power to recoup short workings during the first three years of the lease. The annual output was as follows:

19-1 3,000 tons: 19-2 5,000 tons: 19-3 6,000 tons

19-4 7,00 tons: 19-5 6,000 tons:

XYZ Ltd. books are closed on 31st December each year.

You are required to write up the royalties account, the short workings account and the account of the landlord (PO Ltd) for five years in the books of XYZ Ltd.

Answer:

It is advised to analyze the position for five years in form of a table.

Year	Output (tons)	Royalty (sh)	Minimum Rent (sh)	Short workings (sh)	Short workings recouped (sh)	Short workings irrecoverable –Transfer to P & L a/c (sh)	Payment to landlord (sh)
19-1	3,000	300,000	500,000	200,000	-	-	500,000
19-2	5,000	500,000	500,000	-	-	-	500,000
19-3	6,000	600,000	500,000	-	100,000	100,000	500,000
19-4	7,000	700,000	500,000	-	-	-	700,000
19-5	6,000	600,000	500,000	-	-	-	600,000

**XYZ Ltd. Ledger Account
Royalties Payable Account**

Dec 31 sh.	Dec 31 sh
19-1 landlord's a/c <u>300,000</u> 300,000	19-1 Manufacturing a/c <u>300,000</u>
19-2 Landlord's a/c <u>500,000</u> 500,000	<u>300,000</u>
19-3 Landlord's a/c <u>600,000</u> 600,000	
19-4 Landlord's a/c <u>700,000</u> 700,000	19-2 Manufacturing a/c <u>500,000</u>
19-5 Landlord's a/c <u>600,000</u> 600,000	<u>500,000</u>
	<u>600,000</u>
	19-3 Manufacturing a/c <u>600,000</u>
	<u>600,000</u>
	19-4 Manufacturing a/c <u>700,000</u>
	<u>700,000</u>
	19-5 Manufacturing a/c <u>600,000</u>
	<u>600,000</u>

**XYZ Ltd. Ledger Account
Landlord's Account**

Dec 31 sh	Dec 31 sh
19-1 Cash account 500,000 500,000 19-2 Cash account 500,000 500,000 19 - Short workings a/c 100,000 Cash account 500,000 600,000 19 -4 Cash account 700,000 19-5 Cash account 600,000 600,000	19-1 Royalty pay a/c 300,000 Short workings a/c 200,000 500,000 19-2 Royalty pay: a/c 500,000 500,000 19-3 Royalty pay: a/c 600,000 600,000 19-4 Royalty pay: a/c 700,000 700,000 19-5 Royalty pay: a/c 600,000 600,000

Short-workings Account

Dec 31 sh	Dec 31 sh
19-1 Landlords a/c 200,000 200,000 19-2 Balance b/d 200,000 200,000 19-3 Balance b/d 200,000 200,000	19-1 Balance c/d 200,000 200,000 19-2 Balance c/d 200,000 200,000 19-3 Landlords a/c 100,00 Profit & Loss a/c 100,000 200,000

Note: Short workings not recouped by the end of third year of the lease are to be transferred to the profit and loss account.

Illustration

The lease of a plot of land is granted to „Z“ upon the basis of a royalty of 10p per ton on the clay extracted, subject to a minimum rent of sh2,000 per annum. Z has the right to recoup short workings during the first seven years of the lease but not afterwards.

Z granted a sub-lease for five years from 1st January 19X1 to XY Ltd. on one-half of the area for royalty of 15p per ton merging in a minimum rent of sh1,250 per annum. Under the term of the sub-lease, XY Ltd. can recoup short workings in any of the two years immediately following that in which short workings accrued. The output intones for Z and XY Ltd, was as follows:

Z XY Ltd

31st December 19x1 First Year 10,000 tons 6,500tons 31st December 19x2 second
year 16,000 tons 8,000 tons 31st December 19x3 Third year 20,000 tons 8,200 tons
31st December 19x4 Fourth year 25,000 tons 9,000 tons 31ST December 19x6 Sixth
year 20,000 tons

31st December 19x7 Seventh year 22,000 tons 31st December
19x8 Eighth year 30,000 tons

From the figures above prepare in the books of “Z”:-

- i) Royalty Account – Payable and Receivable.
- ii) Landlord’s Account, and
- iii) Short Workings Allowable Account
- iv) Short working Recoverable Account
- v) Sub-tenant’s Account

Answer:

Books of “Z”
Royalty Payable Account

Dec 31	sh	19x1 Royalty Rec.	650
19x1 Land lord’s a/c	1,650	a/c	
	Dec 31	sh	
		19x1 Manufacturing a/c	<u>1,000</u>
			<u>1,650 1,650</u>
19x2 Landlord’s a/c	2,400	19x2 Royalty Rec. a/c	800
		19x2 Manufacturing a/c	<u>1,600</u>
			<u>2,400 2,400</u>
19x3 Landlords a/c	2,820	19x3 Royalty Rec. a/c	820
		19x3 Manufacturing a/c	<u>2,000</u>
			<u>2,820 2,820</u>
19x4 Landlord’s a/c	3,400	19x4 Royalty Rec pay a/c	900
		19x4 Manufacturing a/c	<u>2,500</u>
			<u>3,400 3,400</u>
19x5 Landlord’s a/c	3,590	19x5 Royalty Rec a/c	990
		19x5 Manufacturing a/c	<u>2,600</u>
			<u>3,590 3,590</u>
19x6 Landlord’s a/c	2,000	19x6 Manufacturing a/c	<u>2,000</u>
			<u>2,000 2,000</u>
19x7 Landlord’s a/c	<u>2,200</u>	19x7 Manufacturing a/c	<u>2,200</u>
			<u>2,200 2,200</u>
19x8 Landlord’s a/c	<u>3,000</u>	19x8 Manufacturing a/c	<u>3,000</u>
			<u>3,000 3,000</u>

Landlord’s Account

Dec 31	sh	Dec 31	sh
19x1 Cash	2,000	19x1 Royalty pay a/c	1,650
		19x1 S.W. Account	<u>350</u>
			<u>2,000 2,000</u>
19x2 S.W. Account	350	19x2 Royalty payable a/c	2,400
		19x2 Cash account	<u>2,050</u>
			<u>2,400 2,400</u>
19x3 Cash account	<u>2,820</u>	19x3 Royalty payable a/c	<u>2,820</u>
			<u>2,820 2,820</u>
19x4 Cash account	<u>3,400</u>	19x4 Royalty payable a/c	<u>3,400</u>
			<u>3,400 3,400</u>
19x5 Cash account	<u>3,590</u>	19x5 Royalty payable a/c	<u>3,590</u>
			<u>3,590 3,590</u>
19x6 Cash account	<u>2,000</u>	19x6 Royalty payable a/c	<u>2,000</u>
			<u>2,000 2,000</u>
19x7 Cash account	<u>2,200</u>	19x7 Royalty payable a/c	<u>2,200</u>
			<u>2,200 2,200</u>
19x8 Cash account	<u>3,000</u>	19x8 Royalty payable a/c	<u>3,000</u>
			<u>3,000 3,000</u>

Short working Account

Dec 31 sh Dec 31 sh 19x1 Landlord's a/c 350 19x1 Balance c/d 350 **350 350**
 19x2 Balance b/d 350 19x2 Landlord's a/c 350 **350 350**

Royalty Receivable Account

Dec 31	a/c	Dec 31	975
19x1 Royalty payable	sh	19x1 Sub-tenants a/c	
	650	sh	
19x1 P & L a/c	<u>325</u>		
			<u>975 975</u>
19x2 Royalty payable a/c 800		19x2 Sub-tenant's a/c 1,200	
		19x2 P & L a/c	<u>400</u>
			<u>1,200 1,200</u>
19x3 Royalty payable a/c 820		19x3 Sub-tenant's a/c 1,230	
		19x3 P & L a/c	<u>410</u>
			<u>1,230 1,230</u>
19x4 Royalty payable a/c 900		19x4 sub-tenants a/c 1,350	
		19x4 P & L a/c	<u>450</u>
			<u>1,350 1,350</u>
19x5 Royalty payable a/c 990		19x5 Sub-tenant's a/c 1,485	
		19x5 P & L a/c	<u>495</u>
			<u>1,485 1,485</u>

Sub-Tenant's account

1,250

Dec 31	sh	
	19x1 Royalty Rec. a/c	
Dec 31	975	
	19x1 Cash account	
sh		
19x1 S.W. (sub-tenant's) a/c	<u>275</u>	
		<u>1,250 1,250</u>
19x2 Royalty Rec. a/c 1,200		19x2 Cash account 1,250
		19x2 S.W. (Sub-tenant's) a/c
		<u>50</u>
		<u>1,250 1,250</u>
19x3 Royalty Rec. a/c 1,230		19x3 Cash account 1,250
		19x3 S.W. (Sub-tenant's) a/c
		<u>20</u>
		<u>1,250 1,250</u>
19x4 Royalty Rec. a/c 1,350		19x4 S.W. (Sub-tenant's) a/c
		<u>70</u>
		19x4 Cash account 1,280
		<u>1,350 1,350</u>
19x5 Royalty Recov a/c	<u>1,485</u>	19x5 Cash account
		<u>1,485</u>
		<u>1,485 1,485</u>

Short workings (sub-tenants) Account

Dec 31 sh Dec 31 sh 19x2 Balance c/d 275 19x1 Sub-tenants a/c 275 **275 275**
 19x2 Balance c/d 325 19x2 Balance b/d 275 19x2 Sub-tenants a/c 50
 19x3 P & L a/c 275 19x3 Balance b/d 325 Balance c/d 70 19x3 Sub-tenant's a/c 20 **345 245**
 19x4 Sub-tenant's a/c 70 19x4 Balance b/d 70 **70 70**

Note: Short working of sub-tenant's for the year 19x1 i.e. sh275 will be transferred to the profit and loss account because these could not be recouped immediately within two years as per sub- lease agreement.

Operations of Branch Arrangements

All businesses of the type described above have a main or head office (HO) which controls, to varying degrees, the operations of its branches. In the first instance, HO procures the premises and other physical resources which each branch needs before it can become operational. When the branch has been established and is operating normally, various arrangements may apply. Many HOs buy in bulk for all their branches. The goods are then delivered to each branch either direct from the supplier or from HO central warehouse. This arrangement enables the advantages of centralized buying and storage to be obtained. However, to allow the branches some degree of flexibility, a certain amount of local buying is usually permitted.

Payment by customers for goods supplied by branches may be made to the branch itself in the case of cash sales and certain credit sales, or, in the latter instance, to HO direct. Such cash as the branch collects should be banked in HO Bank Account intact each working day. Sums of money which the branch requires for everyday running purposes eg petty cash, staff wages, etc should be supplied separately by HO. Resource outflows from HO / inflows to branches represent the transfer values of fixed assets (e.g. premises, fixtures, vehicles etc) and of current assets (e.g. stock, cash); those in the reverse direction comprise such items as stock returns and remittances of cash collected from cash and credit customers.

Accounting Arrangements for Branches

There are two main ways of accounting for branch transactions:

- i) HO maintains the financial accounts of all its branches along with those of its own operations **or**
- ii) Branches individually maintain their own financial accounts and periodically submit certain information from them to HO to enable the accounts for the business as a whole to be prepared.

Three different bases are recognized on which HO may transfer goods to its branches, thus

- a. at cost price (to HO)
- or**
- b. at selling price (by branch)
- or**
- c. at cost price plus a predetermined percentage.

These bases are illustrated in later in this chapter

Branch Accounts maintained in Ho Ledgers

Typical accounting arrangements for the first alternative given in 3.0 would be that HO opens the following

accounts separately for each branch:-

- Branch Stock (despite its name, it serves the purpose of a Branch Trading Account)
- Branch Debtors (if the branch sells goods on credit)

Branch Bank and Cash
Branch Expense Accounts for each expense
Other accounts as necessary

In addition, a Goods sent to Branches Account is opened. At a later stage when the HO Trading Account is being prepared, the goods thus sent can be deducted from total HO Purchases. If this were not done, the figure for Purchases in the HO Trading Account would consist of purchases for resale for both HO itself and the branch. As a consequence, this inflated figure would then form part of the Cost of Sales figure set against HO Sales resulting in the understatement of HO Gross Profit.

Illustration

Let us take a simple set of transactions and see how their recording would vary under each of these three bases.

Opening balances (1st March 19-1)

Branch stock (at cost to HO) 6,300 Branch debtors 2,710 Branch bank 1,820

Closing balances (31 March 19-1)

Branch stock (at cost to HO 4,800 Branch debtors)

Branch bank) to be derived

Transactions at branch during month of March 19 – 1

Goods transferred from HO to branch (at cost to HO) 12,900 Goods returned from branch to HO (at cost to HO) 240 Cash sales paid into bank 2,520 Credit sales 16,240 Goods returned to branch by credit customers (at selling price) 60 Cheques received from credit customers 17,010 Discounts Allowed to credit customers 150 Bad Debts written off 30 Cash transferred from branch bank to HO Bank Account 17,390 Rent and Rates 220 Wages 80 General expenses 70 Transactions at HO on behalf of branch during month of March 19-1

Goods transferred to branch (at cost to HO) as above Goods returned from branch (at cost to HO) as above Cash received from branch as above Salaries of branch staff 750

Post the respective accounts.

Solutions

Basis A – Goods are transferred from HO to branch at cost price to HO

Branch Stock

Mar sh Mar sh 1 Opening balance b/d 6,300 31 Goods sent to branch 240 31 Goods sent to branch 12,900 (returns to HO) 31 Branch Debtors 31 Branch Bank (Sales) 2,520 (returns from customers) 60 31 Branch Debtors (Sales) 16,240 31 Branch Profit and Loss 4,540 31 Closing balance c/d 4,800 (gross profit) (derived)

23,800 23,800

Apr

1 Opening b/d 4,800

Goods sent to branch

sh Mar sh

31 Branch Stock 240 31 Branch Stock 12,900 HO Trading 12,660

12,900 12,900

Branch Debtors

Mar sh Mar sh 1 Opening balance b/d 2,710 31 Branch Stock 60 31 Branch Stock 16,240 31 Branch Discount
(credit sales) Allowed 150

31 Branch Bad Debts 30
31 Branch Bank 17,010
31 Closing balance c/d 1,700
(derived)

18,950 18,950

Apr

1 Opening balance b/d 1,700

Branch Discount Allowed

Mar sh Mar sh 31 Branch Debtors 150 31 Branch Profit & Loss 150

Branch Bad Debts

Mar sh
sh

31 Branch Debtors 30 31 Branch Profit & Loss 30

Branch Bank

Mar sh Mar
sh

1 Opening balance b/d 1,820 31 Branch Rent & Rates 220 31 Branch Stock 2,520 31 Branch Wages 80 31 Branch
Debtors 17,010 31 Branch General Expenses 70
31 HO Bank 17,390
31 Closing balance c/d 3,500
(derived)

21,350 21,350

Apr

1 Opening balance b/d 3,590

Branch Rent and Rates

Mar sh Mar
sh

31 Branch Bank 220 31 Branch Profit & Loss 220

Branch Wages

Mar sh Mar

sh

31 Branch Bank 80 31 Branch Profit & Loss 80

Branch General Expenses

Mar sh Mar sh 31 Branch Bank 70 31 Branch Profit & Loss 70

Branch Salaries

Mar sh Mar sh 31 HO Bank 750 31 Branch Profit & Loss 750

Head Office Bank

Mar sh Mar sh 1 Opening balance b/d not stated 31 Branch Salaries 750 31 Branch Bank 17,390

As is typical in questions of this nature, some figures are not supplied and have to be derived.

Basis B – Goods are transferred from HO to branch at selling price.

For the purpose of this example, selling price is assumed to be cost price plus $33\frac{1}{3}\%$.

There are two possible methods of recording the stock transactions.

i. Memorandum column method

The Branch Stock Account contains, on each side of the account an extra (memorandum) column which does not form part of the double entry system. The normal double entry columns contain figures at cost price for stocks and for transfers to and from HO and the memorandum columns contain figures at the corresponding selling price.

Branch Stock

sh sh sh sh

(Memo (Memo
selling selling
price) Price)

Mar Mar

1 Balance b/d 8,400 6,300 31 Goods sent 31 Goods sent to Branch 320 240 Branch 17,200 12,900 31 Branch Bank 2,520 2,520 31 Branch Debtors 60 60 31 Branch Debtors 16,240 16,240 31 Branch Profit 31 Balance c/d 6,400 4,800 & Loss 4,540 31 Stock

Discrepancy 180
25,660 23,800 25,660 23,800

Apr

1 Balance b/d 6,400 4,800

The stock discrepancy is a derived figure representing the excess of debits over credits, thereby indicating a stock loss. Conversely, a figure appearing on the debit side would represent a stock gain.

One advantage of this method of recording is that the branch manager is not able to calculate the amount of profit the branch is making hence HO is able to preserve the secrecy of certain key information. Another advantage is that it highlights stock discrepancies (as noted above). Separate adjustment is not required in the double entry columns for these discrepancies as they are automatically included in the gross profit figure viz.

	sh sh
Sales – cash 2,520	
- Credit 16,240	
	18,760
Less Returns from customers 60	
	18,700
Opening stock 6,300	
Add Transfers in from HO 12,900	
	19,200
Less Returns to HO 240	
	18,960
Less Closing Stock 4,800	
Cost of Sales 14,160	
Gross Profit per Branch Stock Account 4,540	
Cost of Sales (as above) 14,160	
Gross Profit ($33\frac{1}{3}\%$ x 14,160) 4,720	
Less Stock loss (per memorandum column) 180	
Gross Profit per Branch Stock Account 4,540	

The other accounts for Goods sent to Branches, Branch Debtors, Branch Bank etc would be prepared in exactly the same manner as under basis A.

ii. Adjustment account method

The Goods to Branch and Branch Stock accounts are maintained at selling price for Stock and for transfers to and from HO and the profit element contained in these figures is “siphoned off” into a Branch Stock Adjustment Account. Under this method, gross profit is disclosed by the Branch Stock Adjustment Account, the closing balance of which, representing unrealized profit, is deducted from Stock in the balance sheet.

Branch Stock

Mar sh Mar
sh

1 Balance b/d 8,400 31 Goods sent to branch 320 31 Goods sent to branch 17,200 31 Branch Bank 2,520 31
Branch Debtors 60 31 Branch Debtors 16,240

31 Balance c/d 6,400
31 Branch Stock Adjustment 180
(Stock Loss)

25,660

25,660

Apr

1 Balance b/d 6,400

Goods sent to Branch

Mar sh Mar

sh

31 Branch Stock (returns) 320 31 Branch Stock 17,200

31 Branch Stock Adjustment 4,300 31 Branch Stock Adjustment 80

(25% x 17,200) (25% X 320)

31 HO Trading 12,660

17,280 17,280

Branch Stock Adjustment

Mar sh Mar sh 31 Goods sent to branch 80 1 Balance b/d 2,100 31 Branch Stock (stock loss) 180 (25% x 320)

31 Balance c/d 1,600 31 Goods sent to branch 4,300 (25% x 6,400)

31 Branch Profit & Loss 4,540

6,400 6,400

Apr

1 Balance b/d 1,600

Note: The question states that profit is $33\frac{1}{3}\%$ of cost. When using selling prices this becomes 25% of selling and this latter figure has been used in the calculations in the above accounts.

Proof of this is quite simple as the following example shows for an imaginary article:

sh

Cost Price 9

Add Gross Profit ($33\frac{1}{3}\% \times 9$) 3

Selling Price (Cost plus $33\frac{1}{3}\%$) 12

Selling Price 12

Less Gross Profit (25% X 12) 3

Cost Price 9

(Selling price minus 25%)

The other accounts for Branch Debtors, Branch Bank etc would be prepared in exactly the same manner as under Basis A above. In the Balance Sheet at 31st March, Branch Stock would be shown.

	sh sh
Stock at branch 6,400	
Less Branch Stock Adjustment <u>1,600</u>	
	4,800

Basis C – Goods are transferred from HO to branch at cost plus a predetermined percentage. For the purpose of this example, transfer price is assumed to be cost price plus 20%. This basis may be used, for example, when the actual mark-up rate is for any reason subject to fluctuation or to act as a target.

Either the Memorandum column or the Adjustment account method can be used.

i. Memorandum column method

[illegible]

The balancing figure of sh1,708 appearing as gross profit in the memorandum column is the difference between the actual and the predetermined profit, viz:

Cost of sales (see 4.4 workings) 14,160

Predetermined profit (20% x sh14,160) 2,832
Add "surplus" profit per memorandum column 1,708

Actual gross profit per Branch Stock Account 4,540

It can be seen that stock discrepancies are not now highlighted, as they were under Basis B in 4.4, but have lost their identity by merger into the “surplus” profit figure.

The other accounts would be prepared in exactly the same manner as under Basis A in 4.2.

ii. **Adjustment account method**

Branch Stock

Mar sh Mar sh 1 Balance b/d 7,560 31 Goods sent to branch 288 31 Goods sent to branch 15,480 31
Branch Bank 2,520 31 Branch Debtors 60 31 Branch Debtors 16,240 31 Branch Stock Adjustment 1,708
31 Balance c/d 5,760 (balancing figure)

24,808 24,808

Apr

1 Balance b/d 5,760

Goods sent to Branch

Mar sh Mar sh 31 Branch Stock Adjustment 2,580 31 Branch Stock 15,480 $\frac{1}{6} \times 15,480$ 31 Branch Stock
31 Branch Stock 288 Adjustment $(\frac{1}{6} \times 288)$ 48 31 HO Trading 12,660

15,528 15,528

Branch Stock Adjustment

Mar sh Mar sh 31 Goods sent to branch 48 1 Balance b/d 1,260 31 Balance c/d 960 $(\frac{1}{6} \times 7,560)$
 $(\frac{1}{6} \times 5,760)$ 31 Goods sent branch 2,580 31 Branch Profit & Loss 4,540 $(\frac{1}{6} \times 15,480)$
31 Branch stock 1,708

5,548 5,548

Apr

1 Balance b/d 960

The other accounts would appear as for Basis A in 4.2. note that a gross profit of 20% on cost price is equal to $\frac{1}{6}$ th of transfer price. In the Balance Sheet as at 31st March, Branch Stock would be included thus:

sh sh

Stock at branch at transfer price 5,760
Less Branch Stock Adjustment 960

4,800

4.10 When the accounts have been posted, it is a relatively simple matter to prepare the profit and loss account:

Branch Profit and Loss Account
For month ended 31 March 19 – 1

sh sh

Gross Profit 4,540

Less
Salaries 750
Wages 80
Rent and Rates 220

Discount Allowed 150
Bad Debts 30
General Expenses 70

1,300

Net Profit 3,240

BRANCH ACCOUNTS MAINTAINED IN BRANCH LEDGERS

There are two basic methods of accounting for branch transactions. The second of these alternatives is for **each branch to maintain the financial accounts relating to its own operations**. Such arrangements apply in, say, large branches where the scale of operations justifies the cost of operating an independent accounting system. Under this sort of system, the branch sends suitable records of its transactions, assets and liabilities etc. to HO for amalgamation with those of other branches and of HO so that combined results for the business as a whole can be prepared. Initially, HO transfers out of its own ledger the values of the resources supplied to each branch. For simplicity, the illustration which follows assumes that HO has only one branch.

Illustration

The balances on certain accounts of a business on 31st August were:

Land and Buildings 120,000 Dr
Fixtures 43,000 Dr
Provision for depreciation
 - Land and buildings 9,000 Cr
 - Fixtures 13,000 Cr
Bank 51,000 Dr

sh

On that date the business accorded branch status to one of its outstations. The branch was given a set of ledgers to be maintained independently of HO and the following transfers were made to it from the HO ledger.

Land and Buildings 40,000
Fixtures 13,000
Provision for depreciation
 - Land and buildings 4,000
 - Fixtures 4,500
Bank 7,000

sh

Post and balance the requisite accounts in the ledgers of

- a. HO, and
- b. the branch

Solution

Head Office opens an account, called a current account, to which it posts the resources transferred (Where there is more than one branch, a separate current account is opened for each). After the postings had been made the accounts, when balanced, would appear thus

Land and Buildings

sh sh

Balance b/d 120,000 Branch C/A 40,000 Balance c/d 80,000

120,000 120,000

Balance b/d 80,000

Fixtures

sh sh

Balance b/d 43,000 Branch C/A 13,000 Balance c/d 30,000

43,000 43,000

Balance b/d 30,000

Provision for depreciation (Land and Buildings)

sh sh

Branch C/A 4,000 Balance b/d 9,000 Balance c/d 5,000

9,000 9,000

Balance b/d 5,000

Provision for depreciation(Fixtures)

sh sh

Branch C/A 4,500 Balance b/d 13,000 Balance c/d 8,500

13,000 13,000

Balance b/d 8,500

Bank

sh sh

Balance b/d 51,000 Branch C/A 7,000 Balance c/d 44,000

51,000 51,000

Balance b/d 44,000

Branch Current Account

sh sh

Land and Buildings 40,000 Provision for depreciation

Fixtures 13,000 - land and buildings 4,000 Bank 7,000 - fixtures 4,500 Balance c/d 51,500

60,000 60,000

Balance b/d 51,000

The branch now opens accounts for all the items it receives from head office. The double entry is completed by Head Office Current Account.

Land and Buildings

sh sh

Head Office C/A 40,000

	<u>Fixtures</u>	
Head Office C/A 13,000		sh sh
	<u>Bank</u>	
Head Office C/A 7,000		sh sh
	<u>Provision for depreciation (Land and Buildings)</u>	
		sh sh
		head office c/a 4,000
	<u>Provision for depreciation (Fixtures)</u>	
		sh sh
		Head Office C/A 4,500
	<u>Head Office Current Account</u>	
		sh sh
Provision for depreciation Land of Buildings 40,000 land and buildings 4,000 Fixtures 13,000 fixtures 4,500 Bank 7,000 Balance c/d 51,000		
		<u>60.000 60.000</u>
		Balance b/d 51,000

It will be noted that in the HO ledger the balance on Branch Current Account is sh51,500 debit whilst in the Branch ledger the balance on HO Current Account is sh51,500 credit.

The Current Accounts serve as a link between the two accounting units and the balances at any particular time represent the amount of capital employed by HO in the branch.

Inter-Branch Current Accounts

5.5 When the branch is fully operational it will open further accounts, as required, to record its assets, liabilities, expenses and revenues. If other branches are opened it will also open and maintain a Current Account with each of them. Likewise, they will open and maintain Current Accounts with all other branches.

Goods Transferred

5.6 It was noted in 2.3 that HO may supply branches with goods which have been centrally bought. These may be supplied to branch at cost or at a transfer price above cost eg at selling price or at cost plus a fixed percentage. In the branch ledger the amount involved, irrespective of

the charging basis used, is debited to a Goods from HO Account (as being the cost to the branch) and credited to HO Current Account. Conversely, in the HO ledger, Goods to Branch Account is credited and Branch Current Account is debited.

Effect of Transfer Pricing on Ho, Branch and Total Business Results

If the goods are transferred at a transfer price in excess of cost a complication arises when the final accounts are being prepared. The Trading Account of HO can correctly take credit for the goods supplied to branch so that the transfer profit element of gross profit offsets the extra administration etc expenses of maintaining the branch which appear in the Profit and Loss Account. Similarly branch Trading Account is correctly debited with the cost to the branch of the goods supplied. (Note that when a transfer price is used, cost to the branch exceeds cost to HO and to the business as a whole). From the total business viewpoint, however, profit can only arise from external sales and not from internal transfers. Consequently when a combined business Trading and Profit and Loss Account is prepared, the figures shown for Cost of Sales and Gross Profit will not be the arithmetical addition of the individual HO and branch figures. The difference is the movement in the Provision for Unrealised Profit which HO raises to suspend the transfer profit on goods supplied to branch but not yet realized by sale third parties.

Remittances

The cash, cheques etc received by branch for cash sales and receipts from credit customers should be banked daily as noted earlier either by the branch physically taking the money to HO or, as is more usual, by the branch banking it locally for the credit of HO Bank Account. In the branch ledger the sums involved are debited to a Remittances to HO Account (and credited to Branch Cash Account and/or Branch Bank Account). The entries in HO ledger are a debit to Bank and a credit to remittances from Branch. The remittance accounts in the two sets of ledgers are simply a device to relieve the Current Accounts of a lot of unnecessary detail, bearing in mind that entries arise during each working day. Periodically, the remittance accounts are closed off by transfer to their respective current accounts.

Items in Transit

A minor source of difficulty at a period end is the treatment of items in transit from HO to branch and vice-versa. HO posts its ledger accounts when the Goods are dispatched / invoiced, but the branch can post its ledger accounts only when the documentation is received. Similarly, branch posts its ledger accounts when the money for HO is banked whereas HO can make the corresponding entry only when the copy lodgement slip is received. Thus at the period end there is usually a discrepancy between Remittances from Branch Account in the HO ledger and Remittances to HO Account in the branch ledger. There are two recognized ways of accounting for such items. Either the ledger of the recipient accounting unit is adjusted (i.e. branch ledger for goods in transit and HO ledger for remittances in transit) or the adjustments are all made in HO ledger; the later alternative is the more usual. Whichever alternative is used the adjustments must be posted before the periodic accounts of the combined business are prepared.

Activity

A trading business with a head office in Hull operates a branch shop in Grimsby. The trial balance as at 31st March 19-1 were:

	HOBranh (Hull) (Grimsby) sh sh
Debits	
Fixed Assets (at written down values) 38,000	15,400
Stocks at 1 st April 19-0	
- HO (at cost) 28,000	
	- Branch (at transfer price) 17,000
Debtors 17,448	3,904
Bank and Cash 30,614 5,768 Purchases 195,900	
Remittances to Hull 112,880 Goods from Hull (at transfer price) 69,940 General expenses 34,000 20,000 Grimsby branch current account 126,532	
	470,494 244,872
Credits	
Goods to Grimsby (at transfer price) 71,540	
Remittances from Grimsby 112,380	
Sales 194,020 119,400 Creditors 16,234 540 Hull Current Account 124,932 Capital at 1 st April 19-0 74,620	
Provision for unrealised profit on Stocks on 1 st April 19-0 1,700	
	470,494 244,872

Notes:

- a. Hull invoices goods supplied to Grimsby branch at cost plus one ninth. b. At 31st March 19-1

sh

Stocks at HO (at cost) 25,400
Stocks at Branch (at transfer price) 9,600
Stocks in transit (at transfer price) 1,600
Cash in transit to HO 480

- c. Provide for depreciation on fixed assets at 20% per annum on the reducing

balance. Required:

- a. Prepare a Trading and Profit and Loss Account for year ended 31st March 19-1 and a Balance sheet at that date, separately
for i.HO
ii. Branch

The business as a whole.

General Arrangements

2.0 In 1.3 it was stated that under a hire purchase agreement the customer obtains possession of the goods at the outset, but that the ownership remains with the supplier (or finance company) until the end of the hiring period.

2.1 On a strict legal interpretation of the facts, the supplier (or finance company) should not take

credit for any profit and the customer should not debit the cost of the items until the hiring period has ended.

2.2 Accounting, however, looks at the substance of the transaction rather than at its legal form. Consequently the supplier (or finance company) recognizes profit as arising over the period of hire instead of at the end. Similarly the customer makes the necessary entry in Purchases or Fixed Assets at the beginning of the period and not after the option fee has been paid.

2.3 With both credit sale and hire purchase agreements the accounting arrangements are identical and from this subsection onwards, references to hire purchase transactions would apply equally to credit sale transactions.

2.4 Under a hire purchase transaction, the selling price consists of cost price plus gross (thus giving cash selling price) plus a further sum of hire purchase interest by way of compensation to the supplier for the delay in receiving full payment and for the attendant risks. This is a reasonable imposition because the supplier may have had to borrow money (and thus pay interest) to finance the deal, alternatively the money tied up in the deal might have been earning a return by being invested inside or outside the business.

2.5 Different accounting considerations apply to the purchase transactions are dealt with in Statement of Standard Accounting Practice 21 previously ED29 (Accounting for leases and hire purchase contracts).

OPERATING ARRANGEMENTS

GOODS BOUGHT ON HIRE PURCHASE

3.0 Items of this nature dealt with in the accounts of business are invariably fixed assets because it is illegal to dispose of the items during the hiring period and to acquire trading stock on hire purchase would require so short a hiring period as to nullify the advantages of this arrangement.

3.1 From the point of view of the buyer under a hire purchase contract, the purchase price consists of two elements – the “cash” cost price and the hire purchase interest – which together make up the hire purchase price but which must be accounted for separately.

ACCOUNTING METHODS

3.2 There are two recognized ways of accounting for items bought on hire purchase. The main features are:

Method A The assets account is debited with the “cash” cost of the item and the finance company is

Credited with same amount. Interest is debited to HP Interest and credited in the balance sheet.

Method B The asset account is debited with the “cash” cost of the item but the finance company is credited

With the full hire purchase price, the interest element of which is debited to HP Interest Suspense.

When each installments is due, the appropriate amount of interest is released from the HP Interest

Suspense to HP Interest.

Deposit and instalments paid are debited to the finance company’s account, the balance of which

Minus the balance on the HP Interest Suspense, is included in creditors in the balance sheet.

3.3 For reasons stated in 2.2 and 3.0 the buyer treats his acquisitions as fixed assets when he obtains possession after becoming part to the contract, despite the fact that he is not the legal owner at that state.

3.4 Depreciation on fixed assets bought on hire purchase must be charged from the date of acquisition of possession (not from date of legal ownership) and calculated on the cash cost price.

3.5 Under Method A and B an account is maintained for the finance company and, under Method B, for the suspended interest. The amount shown as the balance of the finance company’s account is not due for payment within the immediate future or in one lump sum but as a series of payments, possibly over a number of years. Similarly, the balance on HP Interest Suspense represents interests due to the paid at various future times but not immediately due.

Illustration

3.6 An example illustrating the points mentioned so far now follows and is solved using each of the methods A and B in turn, so that their effects can be compared and contrasted. Langdale Transport Co. Ltd acquired two new 30 ton articulated units on 1st January 19-0 for sh129,150. The cash price of these units was sh90,000.

The deal was financed by TSPT (Financings) Ltd and the terms of the hire purchase contract required a deposit of sh30,000 on delivery, followed by three instalments on 31st December 19-0, 19-1 and 19-2 of sh33,000, sh33,000 and sh33,000 respectively. The true rate of interest was 30% per annum.

The depreciation policy of Langdale Transport Ltd. to record the above transactions. You should ignore the fact that this company has an opening balance on its Vehicles and Provision for depreciation on vehicles accounts. Accounts after the end of 19-2 need not be prepared. Show the relevant balance sheet entries at the end of 19-0.

SOLUTION

3.7 A separate answer for each of the two methods outline in 3.2 now follows:

Method

Langdale Transport Co. Ltd ledger

Vehicles

19 - 0	Ltd	19 - 0	<u>90,000</u>
1-Jan TSPT (Financings)	sh	31-Dec Balance c/d	
	<u>90,000</u>	sh	
19 - 1	19 - 1		
1-Jan Balance b/d	<u>90,000</u>	31-Dec Balance c/d	<u>90,000</u>
		19 - 2	19 - 2
		1-Jan Balance b/d	<u>90,000</u>
		31-Dec Balance c/d	<u>90,000</u>
			<u>TSPT (Financings) Ltd.</u>

19-0	sh	19-1	sh
1-Jan Bank - deposit	30,000	1-Jan Vehicles	90,000
31-Dec	31-Dec	Bank - 1st Instalment Balance c/d	33,000 <u>45,000</u>
			(30% x (90,000 - 30,000))
		31-Dec HP Interest	18,000
			<u>108,000</u>
			<u>180,000</u>

19-1	19-1
Bank - 2nd	
31-Dec Instalment	33,000
1-Jan Balance b/d	45,000
31-Dec Balance c/d	25,500
31-Dec HP Interest	13,500
	(30% x 45,000)
	<u>58,500</u>
	<u>58,500</u>

19-2	19-2
31-Dec Bank - Final	1-Jan Balance b/d 25,500
Instalment	33,150
31-Dec HP Interest	7,650
	(30% X 25,500)
	<u>33,150</u>
	<u>33,150</u>

HP Interest

19-0	sh	19-0	sh	31-Dec TSPT (Financings) Ltd	<u>18,000</u>	31-Dec Profit and Loss	<u>18,000</u>
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19-1	19-1
31-Dec TSPT (Financings) Ltd	<u>13,500</u>
31-Dec Profit and Loss	<u>13,500</u>

19-2	19-2
31-Dec TSPT (Financings) Ltd	<u>7,650</u>
31-Dec Profit and Loss	<u>7,650</u>

Provision for depreciation on vehicles

Vehicles

	sh	31-Dec Balance c/d	
19 - 0	<u>18,000</u>	sh	
31-Dec Balance c/d	19 - 0	<u>18,000</u>	
19 - 1 19 - 1			
31-Dec Balance b/d 36,000	1-Jan Balance c/d 18,000	31-Dec Profit and Loss	<u>18,000</u>
			<u>36,000 36,000</u>
19-2 19-2			
31-Dec Balance c/d 54,000	1-Jan Balance b/d 36,000	31-Dec Profit and Loss	<u>18,000</u>
			<u>54,000 54,000</u>

MethodB

The vehicles, Hire Purchase Interest and Provision for depreciation accounts are exactly as for Method

A and are not repeated.

TSPT (Financings) Ltd sh

	sh		
19-0 19-0			
1-Jan Bank - deposit 30,000	1-Jan Sundries 129,150	Bank - 1st	
31-Dec Instalment 33,000			
31-Dec Balance c/d 66,150			
			<u>129,150 129,150</u>
19-1 19-1			
Bank - 2nd			
31-Dec Instalment 33,000	1-Jan Balance b/d 66,150	31-Dec Balance c/d 33,150	
			<u>66,160 66,150</u>
19-2 19-2			
31-Dec Bank - Final Instalment 33,150	1-Jan Balance b/d	<u>33,150</u>	

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Hire Purchase Interest

19-0	<u>Suspense</u> sh	Hire Purchase Interest	sh
1-Jan TSPT (Financings) Ltd	39,150	31-Dec	18,000
			<u>31-Dec Balance c/d 21,150</u>
			<u>39,150 39,150</u>

19-1 19-1

Hire Purchase

1-Jan Balance b/d 21,150 31-Dec Interest 13,500 31-Dec Balance c/d 7,650

21,150 21,150

19-2 19-2

Hire Purchase

1-Jan Balance b/d 7,650 31-Dec Interest 7,650

The calculation of the amount of interest transferred out each year is the same as under Method A and the workings are not repeated here.

The amounts which would be disclosed in the balance sheet at the end of each year would be identical for methods A and B, but different in composition. Thus, at the end of the first year (19-0) the following appear. (The distinction between creditors is a Companies Act 1985 disclosure requirement)

Method A (Fixed assets)

sh sh

Vehicles (at cost) 90,000

Less provision for depreciation 18,000

72,000

(Creditors: amounts falling due within one year)

Other creditors: hire purchase

[33,000 - 13,500]

[or 45,000 - 25,500] 19,500

(Creditors: amounts falling due after one year)

Other creditors: hire purchase (33,150 - 7,650) 25,500

Method B (Fixed assets) sh sh Vehicles (at cost) 90,000

Less provision for depreciation 18,000

72,000

(Creditors: amounts falling within one year)

Other creditors: hire purchase

[66,150 - (33,150 + 13,500)] 19,500

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(Creditors: amounts falling due after one year)

Other creditors: hire purchase

[33,150 - 7,650] 25,500

In each case, the net effect of fixed assets (72,000) less combined creditors (sh45,000, that is sh19,500 plus sh25,500) is sh27,000.

This figure is equivalent to:

	sh	sh
Deposit paid	30,000	
1 st Instalment paid	33,000	
less interest element	<u>18,000</u>	
	15,000	
	45,000	
less depreciation	18,000	
	<u>27,000</u>	

In other words, it represents the written down value of the accumulated deposit plus interest exclusive element of instalments paid.

Additionally, a note should be appended showing the hire purchase payments to which Langdale Transport Co. Ltd. is committed separately for the next year, for the second to fifth years and in total after that, in fact in this question there are only two further years involved. The note required could be worded:

Hire Purchase payments

The payments to which the company is committed under hire purchase contracts are:

	sh
Payable in next year	33,000
Payable in two to five years	<u>33,150</u>
	66,150
Less finance charges allocated	
To future periods [13,500 + 7,650]	21,150
	<u>45,000</u>

It can be seen that this figure is equal to the aggregate of the two creditors figures included in the balance sheet extract at 31 December 19-0. [sh19,500 + 25,500 = sh45,000].

Another note should disclose the gross amounts of assets held under hire purchase contracts together with the related aggregate depreciation and the depreciation charge for the period should be disclosed for each major class of asset.

The note could be worded.

Assets held under hire purchase contracts

	Depreciation		
	Cost	Accumulated	Current year
	sh	sh	sh
Vehicles	90,000	18,000	18,000

HIRE PURCHASE INTEREST

3.8 As has been noted in 3.1 and following hire purchase interest is an element of the hire purchase price which must be written off as an expense over the life of the contract. 3.9 Ideally, hire purchase interest should be written off during the contract period in such a way as to produce a constant periodic rate of return on the remaining balance of the interest exclusive liability for each period.

ACTUARIAL METHOD

3.10 Of the write-off methods in use, only one, the actuarial method satisfies the criterion stated in 3.9. This is the method used in Example 3.6 and Solution 3.7. Usually, the interest percentage rate has to be obtained from the actuarial tables, or by using a mathematical model or simply by trial and error. Here, however, the rate (30%) was given and this will ordinarily be the case in an examination question. If it is not given and it is not easy to calculate, an alternative method must be selected.

Actuarial methods are illustrated in detail in Chapter 5 of the Section in paragraphs 5.0 and following.

OTHER METHODS

3.11 Under this method, interest is written off over accounting periods on a reducing method based on digits, as illustrated in 3.13 to 3.15. In order to arrive at the total digits, for each period end the remaining number of individual periods over which the contract is then outstanding, are added together. The interest written off in any period is that period's proportion of the total. It is important to ascertain whether instalments are paid at the start or end of a period because in the latter case there will be one more period to account for than in the former.

Illustration

3.13 A company bought an asset under a hire purchase agreement. Instalments were due each quarter for 3 years. Hire purchase interest included in the hire purchase price was sh78,000.

Required: Calculate the amount of interest to be written off in each quarterly period, assuming

- Instalments were paid at the end of the quarter

and

- Instalments were paid at the beginning of the quarter.

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3.14

a. Instalment paid at the end of quarter Instalments paid at beginning of quarter H.P.

Quarter No. of periods Fraction H.P. interest No. of interest written
periods Fraction written

Number outstanding off outstanding off (digits) (digits)

sh sh

1	12	12/78	12,000	11	11/66	13,000	2	11	11/78	11,000	10	10/66	11,818	3	10	10/78	10,000	9	9/66					
10,636	4	9	9/78	9,000	8	8/66	9,455	5	8	8/78	8,000	7	7/66	8,273	6	7	7/78	7,000	6	6/66	7,091	7	6	6/78
6,000	5	5/66	5,909	8	5	5/78	5,000	4	4/66	4,727	9	4	4/78	4,000	3	3/66	3,545							
10	3	3/78	3,000	2	2/66	2,364	11	2	2/78	2,000	1	1/66	1,182	12	1	1/78	1,000	0	0					

Total 78 78,000 66 78,000

3.15 If the sum of the digits had been applied in Example 3.6 above, interest allocated to years would have been:

Interest

Year No. of years Fraction H.P.

Outstanding written off

sh

19-0	3	3/6	19,575
19-1	2	2/6	13,050
19-2	1	1/6	<u>6,525</u>
			<u>6 39,150</u>

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COMPARISON OF METHODS

3.16 The effects of the different amounts written off which the three methods produce can be seen from the following table.

In each case column (1) shows the interest exclusive outstanding liability, column (2) the Amount of hire purchase interest

Written off and in column (3) the rate of return, that is, column (2) expressed as a percentage of column (1).

Year	Actuarial Method	Sum of the digits method	Straight line method	Out-H.P. Rate of	Out- H.P. Rate of	Rate of
Out- H.P. Rate of	standing interest	return	standing interest	return	standing interest	return liability written

liability written liability **written off off off**
 (1) (2) (3) (1) (2) (3) (1) (2) (3)

sh	sh	sh	sh	sh	sh	sh	sh	sh	sh	19-0	60,000	18,000	30.0	60,000	19,575	32.6	60,000	13,050		
21.8	19-1	45,000	13,500	30.0	46,575	13,050	28.0	40,050	13,050	32.6	19-2	25,500	7,650	30.0	26,625	6,525	24.5	20,100	13,050	65.0

From the above table it can be clearly seen that the straight line method fails completely to satisfy the criterion noted in 3.9 and for that reason, one of the other two methods is to be preferred.

CHOICE OF ACCOUNTING METHOD

3.17 Two methods of accounting for hire purchase items in the buyer books have been Described in 3.2 and following and have been illustrated in 3.6 and following. In the absence of explicit or implicit directions in an examination question the method selected should be the one most appropriate under the circumstances.

OPERATING ARRANGEMENTS.

GOODS SOLD ON HIRE PURCHASE

4.0 Goods which are sold on hire purchase terms tend to fall into one of two broad categories:

1. large items which business buyers treat as fixed assets, or
2. small items most of which are retailed to members of the general public and for which therefore, the corresponding “buying” entries are not raised in the books of any business.

4.1 From the point of view of the seller under a hire purchase contract, the selling price consists of three elements – the cost price and gross profit, which together give the “cash” selling price, and hire purchase interest which makes the latter up to the hire purchase selling price.

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ACCOUNTING METHODS

4.2 The accounting methods employed depends upon the category of item in 4.0. There are different approaches for category 1. from those employed for category 2. and these will now be considered separately.

CATEGORY 1. ITEMS

4.3 For category 1 items (large items) the amounts involved are substantial and/or relatively infrequent and the supplier or finance company is able to identify the transactions surrounding each hire purchase contract with ease.

4.4 Consequently the supplier can spread the gross profit and hire purchase interest over the contract period without much difficulty. Where a supplier sells goods to a customer via a finance company, the seller can take full credit for gross profit at point of sale, but the finance company should take credit for hire purchase interest over the contract period on some suitable basis, for

example, the sum of the digits or actuarial methods illustrated in 3.10 to 3.15. the objective is to produce a constant rate of return on the net investment in the contract in each period. Net investment is hire purchase instalments less finance charges allocated to future periods.

4.5 There are two common methods of accounting for category 1 items sold on hire purchase. The main features are:

Method A The customer's account is debited with the "cash" sale price of the items and HP Sales account is credited.

Interest is debited to the customer's account (when each instalment is due) and is credited to HP Interest Received.

Deposits and instalments received are credited to the customer's account. At the end of the period the balance on this account represents that part of the cash sale price not yet due or received. In the balance sheet it is included under current assets of HP Debtors not yet due.

At the end of each period the balances on HP Sales and on HP Interest Received are transferred to HP Trading as credits. This latter account is then debited with the cost of the hire purchase goods sold.

A provision for unrealised profit is raised to suspend the appropriate portion of gross profit included in selling price. Movements in this provision are reflected in HP Trading and in Provision for unrealised profit account.

The balance on HP Trading is called gross profit but is really a combined figure of pure profit and of hire purchase interest earned during the period and is transferred to the general trading account if different classes of business are transacted, or to profit and loss account if they are not.

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Method B this is the same as Method A except for the following variations. The customer's account is debited with the hire purchase sale price of the item, HP Sales account is credited with the cash price and HP Interest Suspense with the full amount of interest on the contract. Deposits and instalments received are credited to the customer's account, as under Method A, but the balance on this account at the end of the period represents that part of the hire purchase sale price not yet due or received. In the balance sheet it is include under current assets, minus the balance on HP Interest Suspense, as HP Debtors not yet due.

The appropriate amount of interest, calculated on the outstanding balance of the cash price, as under Method A, it transferred at the due date by debiting HP Interest Suspense and crediting HP Interest Received. This latter account is then disposed of as under Method A.

4.6 For reasons stated in 2.2 and 3.0, the seller treats his disposals of goods as sales on parting

with possession of them after becoming part to the contract, despite the fact that he is still the legal owner at that stage.

4.7 The amount shown as the balance on the customer's account is not due for collection within the immediate future or in one lump sum but as a series of receipts, possibly over a number of years. Similarly, the balance of HP Interest Suspense represents interest receivable at various future times but not immediately due.

4.8 The provision for unrealised profit required under both methods is calculated using the formula.

$$\frac{\text{Balance of cash selling price not yet due} \times \text{Gross Profit}}{\text{Total cash selling price 1}}$$

Or simply,

$$\text{Gross profit \%} \times \text{Balance of cash selling price not yet due.}$$

Illustration

4.9 An example using each of the methods A and B so that their effects can be compared and contrasted now follows.

The facts are similar to those in 3.6.

Langdale Transport Co. Ltd. acquired two new 30 ton articulated units on 1st January 19-0 for sh129,150.

The vehicles were supplied and financed by P.A.G. Jay (New Sawley) Ltd. and the terms of the hire purchase contract required a deposit of sh30,000 on delivery, followed by three instalments on 31st December 19-0, 19-1 and 19-2 of sh33,000, sh33,000, and sh33,150 respectively. The true rate of interest was 30% per annum.

The cost of the vehicles to the suppliers was 60,000 and their price was sh90,000.

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Required:

Prepare the appropriate accounts in the books of P.A.G. Jay (New Sawley) Ltd. to record the above transactions for each of the three years.

Show the relevant balance sheet entries at the end of 19-0.

P.A.G. Jay (New Sawley) Ltd Ledger

SOLUTION

4.10 A separate answer for each of the two methods outlined in 4.5, now follows.

Method A

P.A.G. Jay (New Sawley) Ltd Ledger Langdale Transport Co. Ltd.

19-0 sh 19-0 sh HP

1-Jan Sales 90,000 1-Jan Bank - deposit 30,000

31-Dec	HP Interest Rec. 18,000	31- Dec Bank - 1st instalment 33,000
(30% x (90,000 - 30,000) Balance c/d	<u>45,000</u> 108,000 <u>108,000</u>	

19-1 19-1

1-Jan Balance b/d 45,000 HP Interest	31- Dec Bank - 2nd instalment 33,000 31-
31-Dec Rec. 13,500 (30% x 45,000)	Dec Balance c/d 25,500

58,500 58,500

19-2 19-2

1-Jan Balance b/d 25,000 (30% x 25,000) 7,650	31- Dec Bank - Final Instalment
---	------------------------------------

33,150 33,150

HP Interest Received

19-0 sh 19-0 sh

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31-Dec HP Trading 18,000

31-

Dec Langdale Transport Co. Ltd 18,000

19-1 19-1

31-Dec HP Trading 13,500 Dec Langdale Transport Co. Ltd. 13,500

31-

19-2

31-

31-Dec HP Trading
Dec Langdale Transport Co. Ltd.
7,650 7,650 **HP Sales**

19-0 sh 19-0 sh 1-Jan Langdale Transport Co. Ltd.

31-Dec HP Trading 90,000 90,000

**HP Trading
for year ended 31/12/19-0**

HP Cost of

Sales 60,000 HP Sales 90,000 Provn. for unrealised profit 15,000 HP Interest Received 18,000

Gross Profit 33,000

108,000 108,000

For year ended 31/12/19-1

sh

sh

Gross Profit 20,000 HP Interest Received 13,500 Provn. For unrealised profit 6,500
(released)

82

20,000 20,000

For year ended 31/12/19-2

sh

sh

Gross Profit 16,150 HP Interest Received 13,500 Provn. For unrealised profit 6,500

16,150 16,150

Provision for unrealized profit

19-0 sh 19-0

sh

Dec 31 Balance c/d 15,000 Dec 31 HP Trading 15,000 (33⅓% x 45,000)

19-1 19-1

Dec 31 Balance c/d 8,500 Jan 1 Balance b/d 15,000 $(33\frac{1}{3}\% \times 25,500)$

Dec 31 HP Trading 6,500

15,000 15,000

19-2 19-2

Dec 31 HP Trading 8,500 Jan 1 Balance b/d 8,500

Method B.

The HP Sales, HP Trading and Provision for unrealised profit accounts are the same as under method A and are not repeated.

Langdale Transport Co. Ltd.

19-0 sh 19-0

Jan 1 Sundries 129,150 Jan 1 Bank - deposit 30,000